SUGGESTED ANSWERS TO QUESTIONS SET AT THE

INTERMEDIATE EXAMINATION

(UNDER REVISED SCHEME OF EDUCATION AND TRAINING)

GROUP II

JULY, 2021

BOARD OF STUDIES

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

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PAPER – 5: ADVANCED ACCOUNTING

*Question No.**1** is compulsory.*

*Candidates are also required to answer any **four** questions from the remaining **five** questions.*

Working notes should form part of the respective answers.

Wherever necessary, candidates are permitted to make suitable assumptions which should be disclosed by way of a note.

Question 1

(a) The following data is provided for M/s. Raj Construction Co.

(i) Contract Price - ₹ 85 lakhs

(ii) Materials issued - ₹ 21 Lakhs out of which Materials costing ₹ 4 Lakhs is still lying unused at the end of the period.

(iii) Labour Expenses for workers engaged at site - ₹ 16 Lakhs (out of which ₹ 1 Lakh is still unpaid)

(iv) Specific Contract Costs - ₹ 5 Lakhs

(v) Sub-Contract Costs for work executed - ₹ 7 Lakhs, Advances paid to sub-contractors - ₹ 4 Lakhs

(vi) Further Cost estimated to be incurred to complete the contract - ₹ 35 Lakhs

You are required to compute the Percentage of Completion, the Contract Revenue and Cost to be recognized as per AS-7.

(b) Rohini Limited is in the business of manufacture of passenger cars and commercial vehicles. The Company is working on a strategic plan to close the production of passenger cars and to produce only commercial vehicles over the coming 5 years. However, no specific plans have been drawn up for sale of neither the division nor its assets. As part of its prospective plan it will reduce the production of passenger cars by 20% annually. It also plans to establish another new factory for the manufacture of commercial vehicles and transfer surplus employees in a phased manner. You are required to comment:

(i) If mere gradual phasing out in itself can be considered as a 'discontinuing operation' within the meaning of AS-24.

(ii) If the Company passes a resolution to sell some of the assets in the passenger car division and also to transfer few other assets of the passenger car division to the new factory, does this trigger the application of AS-24?

(iii) Would your answer to the above be different if the Company resolves to sell the assets of the passenger car division in a phased but time bound manner?

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(c) *Surya Limited follows the financial year from April to March. It has provided the following information.*

(i) *A suit against the Company's Advertisement was filed by a party on 5th April, 2021, claiming damages of ₹ 5 lakhs.*

(ii) *Company sends a proposal to sell an immovable property for ₹ 45 lakhs in March 2021. The book value of the property is ₹ 30 lakhs as on year end date. However, the Deed was registered on 15th April, 2021.*

(iii) *The terms and conditions for acquisition of business of another company have been decided by the end of March 2021, but the financial resources were arranged in April 2021. The amount invested was ₹ 50 lakhs.*

(iv) *Theft of cash amounting to ₹ 4 lakhs was done by the Cashier in the month of March 2021 but was detected on the next day after the Financial Statements have been approved by the Directors.*

Keeping in view the provisions of AS-4, you are required to state with reasons whether the above events are to be treated as Contingencies, Adjusting Events or Non-Adjusting Events occurring after Balance Sheet date.

(d) (i) *Khushi Limited enter into an agreement with Mr. Happy for running a business for a fixed amount payable to the later every year. The contract states that the day-to-day management of the business will be handled by Mr. Happy, while all financial and operating policy decisions are taken by the Board of Directors of the Company. Mr. Happy does not own any voting power in Khushi Limited.*

(ii) *Shri Bhanu a relative of key management personnel received remuneration of ₹ 3,50,000 for his services in the company for the period from 1st April, 2020 to 30th June, 2020. On 1st July, 2020, he left the service.*

You are required to suggest how the above transactions will be treated as at the closing date i.e. on 31st March, 2021 for the purposes of AS 18- Related Party Disclosures.

(4 Parts x 5 Marks = 20 Marks)

Answer

(a) Computation of contract cost

	₹ Lakh	₹ Lakh
Material cost incurred on the contract (net of closing stock)	21-4	17
Add: Labour cost incurred on the contract (including outstanding amount)		16
Specified contract cost	given	5
Sub-contract cost (advances should not be considered)		7

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Cost incurred (till date)		45
Add: further cost to be incurred		35
Total contract cost		80

Percentage of completion = Cost incurred till date/Estimated total cost

= ₹ 45,00,000/₹ 80,00,000

= 56.25%

Contract revenue and costs to be recognized

Contract revenue (₹ 85,00,000x56.25%) = ₹ 47,81,250

Contract costs = ₹ 45,00,000

(b) (i) As per AS 24, a discontinuing operation is a component of an enterprise:

(a) that the enterprise, pursuant to a single plan, is:

(i) disposing of substantially in its entirety, such as by selling the component in a single transaction or by demerger or spin-off of ownership of the component to the enterprise's shareholders; or

(ii) disposing of piecemeal, such as by selling off the component's assets and settling its liabilities individually; or

(iii) terminating through abandonment; and

(b) that represents a separate major line of business or geographical area of operations; and

(c) that can be distinguished operationally and for financial reporting purposes.

Mere gradual phasing out is not considered as discontinuing operation as defined under AS 24, 'Discontinuing Operations'. Examples of activities that do not necessarily satisfy criterion of the definition, but that might do so in combination with other circumstances, include:

(a) Gradual or evolutionary phasing out of a product line or class of service;

(b) Shifting of some production or marketing activities for a particular line of business from one location to another; and

(c) Closing of a facility to achieve productivity improvements or other cost savings.

In this case, it cannot be considered as Discontinuing Operation as per AS-24 as the company's strategic plan has no final approval from the board through a resolution and there is no specific time bound activities like shifting of assets and employees. Moreover, the new segment i.e. commercial vehicle production line in a new factory has not started.

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(ii) No, the resolution is silent about stoppage of the car segment in definite time period. Though, sale of some assets and some transfer proposal were passed through a resolution to the new factory, but the closure road map and new segment starting roadmap are missing.

Hence, AS 24 will not be applicable and it cannot be considered as discontinuing operation.

(iii) Yes, phased and time bound program resolved in the board clearly indicates the closure of the passenger car segment in a definite time frame and will constitute a clear roadmap.

Hence, this action will attract compliance of AS 24 and it will be considered as Discontinuing Operation as per AS-24.

(c) **(i)** Suit filed against the company is a contingent liability but it was not existing as on date of balance sheet date as the suit was filed on 5th April after the balance sheet date. As per AS 4, 'Contingencies' is restricted to conditions or situations at the balance sheet date, the financial effect of which is to be determined by future events which may or may not occur. However, it may be disclosed with the nature of contingency, being a contingent liability**.**

This event does not pertain to conditions on the balance sheet date. Hence, it will have no effect on financial statements and will be a non-adjusting event.

(ii) In this case, no adjustment to assets and liabilities is required as the event does not affect the determination and the condition of the amounts stated in the financial statements for the year ended 31st March, 2021. There was just a proposal before 31st March, 2021 and hence sale cannot be shown in the financial statements for the year ended 31st March, 2021.

Sale of immovable property is an event occurring after the balance sheet date and is a non-adjusting event.

(iii) In the given case, terms and conditions for acquisition of business were finalized before the balance sheet date and carried out before the closure of the books of accounts but transaction for payment of financial resources was effected in April, 2021.

Hence, it is an adjusting event and necessary adjustment to assets and liabilities for acquisition of business is necessary in the financial statements for the year ended 31st March 2021.

(iv) Only those events which occur between the balance sheet date and the date on which the financial statements are approved, may indicate the need for adjustments to assets and liabilities as at the balance sheet date or may require disclosure.

In the given case, as the theft of cash was detected after approval of financial statements, no adjustment is required. Hence it is non-adjusting event.

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(d) **(i)** Mr. Happy will not be considered as a related party of Khushi Limited in view of provisions of AS 18 "Related Party Disclosures" which states, "individuals owning, directly or indirectly, an interest in the voting power of the reporting enterprise that gives them control or significant influence over the enterprise, and relatives of any such individual are related parties".

In the given case, in the absence of share ownership, Mr. Happy would not be considered to exercise significant influence on Khushi Limited, even though there is an agreement giving him the power to manage the company. Further, the fact that Mr. Happy does not have the ability to direct or instruct the board of directors does not qualify him as a key management personnel.

(ii) According to AS 18 on 'Related Party Disclosures', parties are considered to be related if at any time during the reporting period one party has the ability to control the other party or exercise significant influence over the other party in making financial and/or operating decisions.

Hence, Shri Bhanu, a relative of key management personnel should be identified as related party for disclosure in the financial statements for the year ended 31.3.2021 as he received remuneration for his services in the company for the period from 1st April,2020 to 30th June,2020.

Question 2

(a) A company provides the following 2 possible Capital Structures as on 31st March, 2021:

Particulars	*Situation 1 (₹)*	*Situation 2 (₹)*
Equity Share Capital (Shares of ₹ 10 each, fully paid up)	*30,00,000*	*30,00,000*
Reserves & Surplus:		
General Reserve	*12,00,000*	*12,00,000*
Securities Premium	*6,00,000*	*6,00,000*
Profit & Loss	*2,10,000*	*2,10,000*
Statutory Reserve	*4,20,000*	*4,20,000*
Loan Funds	*25,00,000*	*1,20,00,000*

The company is planning to offer buy back of Equity Share at a price of ₹ 30 per equity share.

You are required to calculate maximum permissible number of equity shares that can be bought back in both the situations as per Companies Act, 2013 and are also required to pass necessary Journal Entries in the situation where the buyback is possible. ***(15 Marks)***

(b) (i) Explain the meaning of Equity Shares with Differential Rights.

Can Preference Shares be also issued with differential rights ?

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(ii) In Jugnu Limited A, B, C and D hold equity share capital in the proportion of 30:30:30: 10 and M, N, O and P hold preference share capital in proportion of 40:20:30:10.

You are required to calculate their voting rights in case of resolution of winding up of the company, if the paid up Equity Share Capital of the company is ₹ 100 Lakhs and Preference Share Capital is ₹ 50 Lakhs. ***(5 Marks)***

Answer

(a) Statement determining the maximum number of shares to be bought back

Number of shares (in crores)

Particulars	When loan fund is	
	₹ 25,00,000	₹ 1,20,00,000
Shares Outstanding Test (W.N.1)	75,000	75,000
Resources Test (W.N.2)	41,750	41,750
Debt Equity Ratio Test (W.N.3)	94,000	Nil
Maximum number of shares that can be bought back [least of the above]	41,750	Nil

Journal Entries for the Buy-Back (applicable only when loan fund is ₹ 25,00,000)

			₹	
	Particulars		Debit	Credit
(a)	Equity shares buy-back account	Dr.	12,52,500	
	To Bank account			12,52,500
	(Being payment for buy-back of 41,750 equity shares of ₹ 10 each @ ₹ 30 per share)			
(b)	Equity share capital account	Dr.	4,17,500	
	Premium Payable on buy-back account	Dr.	8,35,000	
	To Equity shares buy-back account			12,52,500
	(Being cancellation of shares bought back)			
	Securities Premium account	Dr.	6,00,000	
	General Reserve / Profit & Loss A/c	Dr.	2,35,000	
	To Premium Payable on buy-back account			8,35,000
	(Being Premium Payable on buy-back account charged to securities premium and general reserve/Profit & Loss A/c)			

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(c)	General Reserve*	Dr.	4,17,500	
	To Capital redemption reserve account			4,17,500
	(Being transfer of free reserves to capital redemption reserve to the extent of nominal value of share capital bought back out of redeemed through free reserves)			

**Profit and Loss account balance amounting ₹ 2,10,000 may also be used and General Reserve may be debited for the balance amount.*

Working Notes:

1. Shares Outstanding Test

Particulars	*(Shares in crores)*
Number of shares outstanding	3,00,000
25% of the shares outstanding	75,000

2. Resources Test

Particulars	
Paid up capital (₹)	30,00,000
Free reserves (₹) (12,00,000+6,00,000+2,10,000)	20,10,000
Shareholders' funds (₹)	50,10,000
25% of Shareholders fund (₹)	₹ 12,52,500
Buy-back price per share	₹ 30
Number of shares that can be bought back	41,750 shares

3. Debt Equity Ratio Test: Loans cannot be in excess of twice the Equity Funds post Buy-Back

	Particulars	When loan fund is	
(a)	Loan funds (₹)	₹ 25,00,000	₹ 1,20,00,000
(b)	Minimum equity to be maintained after buy-back in the ratio of 2:1 (₹) (a/2)	12,50,000	60,00,000
(c)	Present equity shareholders fund (₹)	50,10,000	50,10,000

Amount transferred to CRR and maximum equity to be bought back will be calculated by simultaneous equation method

Suppose amount transferred to CRR account is 'x' and maximum permitted buy-back of equity is 'y' Then

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Equation 1: (Present Equity- Transfer to CRR)- Minimum Equity to be maintained = Maximum Permitted Buy-Back

= (50,10,000 – x) – 12,50,000 = y

= 37,60,000 – x =y (1)

Equation 2: Maximum Permitted Buy-Back *X* Nominal Value Per Share/Offer Price Per Share

y/30 x 10 = x

or

3x = y (2)

by solving the above two equations we get

x = ₹9,40,000 and

y = ₹28,20,000

In situation 2, first equation will be negative. Buy back not possible in this situation.

(b) (i) As per the Companies Act 2013, companies can issue equity shares with differential rights subject to the fulfilment of certain conditions. Companies (Share Capital and Debentures) Rules, 2014 deal with equity shares with differential rights. Differentiation can be done by giving a superior dividend / Superior voting right / diluted voting right to a class of equity shareholders.

Preference shares are not issued with differential rights. It is only the equity shares, which are issued.

(ii) In the given case, the relative weight in the voting right of equity shareholders and preference shareholders will be 2/3 and 1/3. The respective voting right of various shareholders will be

				Relative weights	**Voting Power**
A	=	2/3X30/100	=	2/10	20%
B	=	2/3X30/100	=	2/10	20%
C	=	2/3X30/100	=	2/10	20%
D	=	2/3X10/100	=	1/15	6.67%
M	=	1/3X40/100	=	2/15	13.33%
N	=	1/3X20/100	=	1/15	6.67%
O	=	1/3X30/100	=	1/10	10%
P	=	1/3X10/100	=	1/30	3.33%

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Question 3

(a) *A Partnership firm C & Co. consists of partners P and Q sharing Profits and Losses in the ratio of 4:1. The firm H & Co. consists of Partners Q and R sharing Profits and Losses in the ratio of 3:2. On 31st March, 2021, it was decided to amalgamate both the firms and form a new firm CH & Co., wherein P, Q, R would be partners sharing Profits and Losses in the ratio of 6:3:1. The summarized Balance Sheets of both the firms as on 31st March, 2021 were as follows:*

Labilities	*C & Co. (₹ in 000)*	*H & Co. (₹ in 000)*	*Assets*	*C & Co. (₹ in 000)*	*H & Co. (₹ in 000)*
Capital			*Cash in hand/bank*	*160*	*120*
P	*600*	*-*	*Debtors*	*240*	*320*
Q	*400*	*300*	*Stock*	*200*	*80*
R	*-*	*200*	*Vehicles*	*-*	*350*
Reserve	*200*	*150*	*Machinery*	*480*	*-*
Creditors	*480*	*220*	*Building*	*600*	*-*
Total	*1,680*	*870*	*Total*	*1,680*	*870*

The following were the terms of amalgamation:

(i) Goodwill of C & Co. was valued at ₹2,80,000 and the Goodwill of H & Co. was valued at ₹1,60,000. Goodwill account is not to be opened in the books of the new firm but to be adjusted through the Capital accounts of the partners.

(ii) Building, Machinery and Vehicles are to be taken over at ₹8,00,000, ₹4,00,000 and ₹3,00,000, respectively.

(iii) Provision for doubtful debts at ₹20,000 in respect of C & Co. and ₹10,000 in respect of H & Co. are to be provided.

You are required to:

(i) Show how the Goodwill value will be adjusted amongst the partners.

(ii) Prepare the Balance Sheet of CH & Co as at 31st March, 2021 by keeping Partners' capitals in their profit sharing ratio taking capital of 'Q' as the basis. The excess or deficiency to be kept in the respective Partner's Current Account. ***(15 Marks)***

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(b) Siddharth Auto Financiers Limited is a NBFC providing Finance for purchasing of Auto Rickshaws. The following information is extracted from its books for the year 31st March, 2021:

Interest Overdue but recognised in Profit and Loss Account		*Net Book Value of Assets Outstanding*
Period Overdue	*Interest Amount (₹ In Crore)*	*(₹ In crores)*
Up to 12 Months	*750.00*	*30,000*
For 24 Months	*200.00*	*4,000*
For 30 Months	*200.00*	*3,750*
For 45 Months	*250.00*	*3,000*
For 60 Months	*500.00*	*10,000*

You are required to calculate the amount of provision io be made. ***(5 Marks)***

Answer

(a) (i) Adjustment for raising and writing off of goodwill

	Raised in old profit-sharing ratio		Total	Written off in new ratio	Difference
	C & Co.	H & Co.			
	4:1 ₹	3:2 ₹	₹	6:3:1 ₹	₹
P	2,24,000	---	2,24,000 Cr.	2,64,000 Dr.	40,000 Dr.
Q	56,000	96,000	1,52,000 Cr.	1,32,000 Dr.	20,000 Cr.
R	---	64,000	64,000 Cr.	44,000 Dr.	20,000 Cr.
	2,80,000	1,60,000	4,40,000	4,40,000	Nil

(ii) Balance Sheet of CH & Co. (New firm) as on 31.3.2021

Liabilities	₹	*Assets*	₹
Capital Accounts:		Vehicle	3,00,000
P	16,68,000	Machinery	4,00,000
Q	8,34,000	Building	8,00,000
R	2,78,000	Stock	2,80,000
Creditors	7,00,000	Debtors	5,30,000
		Cash & Bank	2,80,000

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		Current Accounts:	
		P	8,68,000
		R	22,000
	34,80,000		34,80,000

Working Notes:

1. Balance of Capital Accounts at the time of amalgamation of firms

C & Co.

Particulars	***P's Capital (₹)***	***Q's Capital (₹)***
C & Co. Profit and loss sharing ratio 4:1		
Balance as per Balance Sheet	6,00,000	4,00,000
Add: Reserves	1,60,000	40,000
Revaluation profit (Building)*	1,60,000	40,000
Less: Revaluation loss (Machinery)	(64,000)	(16,000)
Provision for doubtful debt	(16,000)	(4,000)
	8,40,000	4,60,000
H & Co.		
Particulars	***Q's Capital (₹)***	***R's Capital (₹)***
H & Co. Profit and loss sharing ratio 3:2		
Balance as per Balance sheet	3,00,000	2,00,000
Add: Reserves	90,000	60,000
Less: Revaluation (vehicle)	(30,000)	(20,000)
Provision for doubtful debts	(6,000)	(4,000)
	3,54,000	2,36,000

2. Balance of Capital Accounts in the balance sheet of the new firm as on 31.3.2021

Particulars		*P* ₹	*Q* ₹	*R* ₹
Balance b/d:	C & Co.	8,40,000	4,60,000	--
	H & Co.	--	3,54,000	2,36,000
		8,40,000	8,14,000	2,36,000
Adjustment for goodwill		(40,000)	20,000	20,000
		8,00,000	8,34,000	2,56,000

* NOTE: *Alternative solution using Revaluation Account is also possible. In that case, Revaluation account will be prepared in the books of both amalgamating firms for recording profit /loss on revaluation of assets. However, the final balances of partners' capitals in the balance sheet of amalgamated firm will remain same as given in the above solution.*

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Total capital ₹ 27,80,000 (Q's capital i.e. ₹ 8,34,000 x 10/3) to be contributed in 6:3:1 ratio.	16,68,000	8,34,000	2,78,000
Deficiency Transferred to Current Account	8,68,000	---	22,000

(b) On the basis of the information, in respect of financed assets, provision shall be made as under:

			(₹ in crore)
(a)	Where hire charges are overdue upto 12 months	Nil	-
(b)	Where hire charges are overdue for more than 12 months but upto 24 months	10% of the net book value 10% x 4,000	400
(c)	Where hire charges are overdue for more than 24 months but upto 36 months	40 percent of the net book value 40% x 3,750	1,500
(d)	Where hire charges or lease rentals are overdue for more than 36 months but upto 48 months	70 percent of the net book value 70% x 3,000	2,100
(e)	Where hire charges or lease rentals are overdue for more than 48 months	100% of net book value (100% x 100)	10,000
		Total	14,000

Question 4

(a) The Trial Balances of X Limited and Y Limited as on 31st March, 2021 were as under:

	X Limited (₹ In 000)		*Y Limited (₹ In 000)*	
	Dr.	*Cr.*	*Dr.*	*Cr.*
Equity Share capital (Share of ₹ 100 each)		*2,000*		*400*
7% Preference share capital		*-*		*400*
Reserves		*600*		*200*
6% Debentures		*400*		*400*
Trade Receivables/Trade Payables	*160*	*180*	*100*	*120*
Profit & Loss A/c balance		*40*		*30*
Purchases /Sales	*1,000*	*1,800*	*1,200*	*1,900*
Wages and Salaries	*200*		*300*	

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Debenture Interest	*24*		*24*	
General Expenses	*160*		*120*	
Preference share dividend up to 30.09.2020		*7*	*14*	
Inventory (as on 31.03.2021)	*200*		*100*	
Cash at Bank	*27*		*12*	
Investment in Y Limited	*1,056*		*-*	
Fixed Assets	*2,200*		*1,580*	
Total	*5,027*	*5,027*	*3,450*	*3,450*

Investment in Y Limited was acquired on 1st July, 2020 and consisted of 80% of Equity Share Capital and 50% of Preference Share Capital.

- *After acquiring control over Y Limited, X Limited supplied to Y Limited goods at cost plus 25%, the total invoice value of such goods being ₹ 1,20,000, one fourth of such goods were still lying in inventory at the end of the year.*
- *Depreciation to be charged @ 10% in X Limited and @ 15% in Y Limited on Fixed Assets.*

You are required to prepare the Consolidated Statement of Profit and Loss for the year ended on 31st March, 2021. ***(15 Marks)***

(b) Long Limited acquired 60% stake in Short Limited for a consideration of ₹ 112 lakhs. On the date of acquisition Short Limited's Equity Share Capital was ₹ 100 lakhs, Revenue Reserve was ₹ 40 lakhs and balance in Profit & Loss Account was ₹ 30 lakhs. From the above information you are required to calculate Goodwill / Capital Reserve in the following situations:

(i) On consolidation of Balance Sheet.

(ii) If Long Limited showed the investment in subsidiary at a carrying amount of ₹ 104 lakhs.

(iii) If the consideration paid for acquiring the 60% stake was ₹ 92 lakhs. ***(5 Marks)***

Answer

(a) Consolidated Statement of Profit & Loss Account of X Ltd. and Y Ltd. for the year ended 31st March, 2021

Particulars	*Note No.*	*₹*
I. Revenue from operations	1	35,80,000
II. Total revenue		35,80,000

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III.	Expenses		
	Cost of Material purchased/Consumed	2	20,80,000
	Changes of Inventories of finished goods		-
	Employee benefit expense	3	5,00,000
	Finance cost	4	48,000
	Depreciation and amortization expense	5	4,57,000
	Other expenses	6	2,80,000
	Total expenses		33,65,000
IV.	Profit before Tax (II-III)		2,15,000
Profit transferred to Consolidated Balance Sheet			
Profit After Tax			2,15,000
Preference dividend		7,000	
Preference dividend payable		7,000	(14,000)
			2,01,000
Share in pre-acquisition loss (WN 3)			1,800
Share of Minority interest in losses (WN 1)			1,800
Less: Investment Account- dividend for 3 months (prior to acquisition)			(3,500)
	Inventory reserve (WN 2)		(6,000)
Profit to be transferred to consolidated balance sheet			1,95,100

Notes to Accounts

		₹	₹
1	Revenue from Operations		
	X Ltd.	18,00,000	
	Y Ltd.	19,00,000	
	Total	37,00,000	
	Less: Intra-group sales (X sold to Y)	(1,20,000)	35,80,000
2	Cost of Materials Purchased/Consumed		
	X Ltd.	10,00,000	
	Y Ltd.	12,00,000	
	Total	22,00,000	
	Less: Intra-group sales (X sold to Y)	(1,20,000)	20,80,000
3	Employee benefit and expenses		
	Wages and salaries		

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	H Ltd.	2,00,000	
	S Ltd.	3,00,000	5,00,000
4	Finance cost		
	Interest		
	H Ltd.	24,000	
	S Ltd.	24,000	48,000
5	Depreciation		
	H Ltd.	2,20,000	
	S Ltd.	2,37,000	4,57,000
6	Other expenses		
	H Ltd.	1,60,000	
	S Ltd.	1,20,000	2,80,000

Working Notes:

1. **Profit of Subsidiary** ₹

Revenue from Operations		19,00,000
Less: Expenses		
Cost of Material purchased/Consumed	12,00,000	
Changes of Inventories of finished goods	-	
Employee benefit expense	3,00,000	
Finance cost	24,000	
Depreciation and amortization expense	2,37,000	
Other expenses	1,20,000	
Total expenses		(18,81,000)
Profit Before Tax		19,000
Less: Preference Dividend	14,000	
Less: Preference Dividend Payable	14,000	(28,000)
Profit available for shareholders		(9,000)
Minority Share (20% of loss ₹ 9,000)		(1,800)

2. **Inventory reserve** = $\left[\frac{120,000}{4} \times \frac{25}{125}\right]$ = ₹ 6,000

3. **Pre-acquisition loss** = 80% of 3 month's profit up to 30th June,2020 i.e. 80 % of ¼ of loss ₹ 9,000. Hence, pre-acquisition loss = ₹ 1,800

4. Investment account includes Preference dividend for 3 months prior to acquisition i.e. ₹ 4,00,000 x 50% x 7% x 1/4 = ₹ 3,500

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(b)

	₹
60% of the Equity Share Capital ₹ 100 Lakhs	60
60% of Accumulated Reserve ₹ 70 Lakhs (40+30) Lakhs	42
Book value of shares of Short Ltd.	102

(i) Goodwill / Capital Reserve computation on consolidation of balance sheet

Long Ltd. paid a positive differential of ₹ 10 Lakhs (112 - 102). This differential ₹ 10 Lakhs is called goodwill and is shown in the balance sheet under the head intangibles.

(ii) If Long Ltd. showed the investment in Short Ltd. at carrying amount of ₹ 104 Lakhs, then the goodwill will be ₹ 2 Lakhs.

(iii) If the consideration paid is ₹ 92 lakhs, then there would have been capital reserve amounting ₹ 10 Lakhs (102- 92).

Question 5

(a) The summarized Balance Sheets of Black Limited and White Limited as on 31st March, 2020 is as follows:

Particulars	*Notes*	*Black Limited (₹ In 000)*	*White Limited (₹ In 000)*
Equity and Liabilities			
Shareholders' Funds			
(a) Share Capital	*1*	*6,000*	*3,600*
(b) Reserves and Surplus	*2*	*1,080*	*660*
Current Liabilities			
Trade payables		*600*	*360*
Total		*7,680*	*4,620*
Assets			
Non-current assets			
Property, Plant and Equipment		*3,600*	*2,400*
Current assets			
(a) Inventories		*960*	*720*
(b) Trade receivables		*1,680*	*1,080*
(c) Cash and Cash Equivalents		*1,440*	*420*
Total		*7,680*	*4,620*

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Note No.	Particulars	Black Limited (₹ in 000)	White Limited (₹ in 000)
1.	Share Capital Equity Shares of ₹ 100 each	6,000	3,600
2.	Reserves and Surplus		
	General Reserve	360	180
	Profit and Loss Account	720	480
	Total	1,080	660

Black Limited takes over White Limited on 1st July, 2020.

No Balance Sheet of White Limited is available as on that date. It is, however estimated that White Limited earned profit of ₹ 2,40,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment, during April-June, 2020.

Estimated profit of Black Limited during these 3 months was ₹ 4,80,000 after charging proportionate depreciation @ 10% p.a. on Property Plant and Equipment.

Both the companies have declared and paid 10% dividend within this 3 months' period.

Goodwill of White Limited is valued at ₹ 2,40,000 and Property Plant and Equipment are valued at ₹ 1,20,000 above the depreciated book value on the date of takeover.

Purchase consideration is to be satisfied by Black Limited by issuing shares at par.

Ignore income tax. You are required to:

(i) Compute No. of shares to be issued by Black Limited to White Limited against purchase consideration.

(ii) Calculate the balance of Net Current Assets of Black Limited and White Limited as on 1st July, 2020.

(iii) Give balance of Profit or Loss of Black Limited as on 1st July, 2020

(iv) Give balance of Property Plant and Equipment as on 1st July, 2020 after takeover.

(10 Marks)

(b) The following are the figures extracted from the books of New Bank Limited as on 31.03.2021:

	Figure in ₹
Interest and Discount received	48,11,200
Interest paid on Deposits	22,95,920
Salaries and allowances	8,40,510
Directors fees and allowances	45,000
Issued and subscribed capital	16,00,000

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Commission, Exchange and Brokerage received	*1,45,000*
Postage and Telegrams	*60,000*
Statutory Reserve Fund	*8,00,000*
Interest on cash credit	*2,65,000*
Profit on sale of Investments	*1,15,800*
Depreciation on Bank's Property	*40,000*
Interest on Overdraft	*1,20,000*
Rent Received	*65,000*
Legal Expenses	*21,000*
Auditors Fees	*5,000*
Statutory Expenses	*38,000*

The following information is also given:

(i) A customer to whom a sum of ₹5 Lakhs was advanced has become insolvent and it is expected that only 50% can be recovered from his estate.

(ii) Make necessary provisions on Risk Assets:

Standard (excluding above ₹5,00,000)	*10,00,000*
Sub-Standard (fully secured)	*8,20,000*
Doubtful assets covered by security for 1 year	*40,000*
Loss assets	*1,00,000*

(iii) Provide ₹6,50,000 for Income Tax.

(iv) The directors desire to declare 10% dividend.

(v) 25% of profit is to be transferred to Reserve fund.

(vi) Rebate on Bills discounted on 31.03.2020 was ₹20,000 and ₹15,000 on 31.03.2021.

You are required to prepare Profit & Loss A/c of New Bank Limited for the year ended 31.03.2021. ***(10 Marks)***

Answer

(a) (i) No. of shares issued by Black Ltd. to White Ltd. against purchase consideration

White Ltd.	₹	₹
Goodwill		2,40,000
Property, plant and equipment	24,00,000	
Less: Depreciation [24,00,000 × 10 % × 3/12]	(60,000)	
	23,40,000	
Add: Appreciation	1,20,000	24,60,000

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Inventory			7,20,000
Trade receivables			10,80,000
Cash and Bank balances		4,20,000	
Add: Profit after depreciation	2,40,000		
Add: Depreciation (non-cash)	60,000	3,00,000	
Less: Dividend [36,00,000 × 10%]		(3,60,000)	3,60,000
			48,60,000
Less: Trade payables			(3,60,000)
Purchase Consideration			45,00,000
Number of shares to be issued by Black Ltd. @ ₹ 100 each			45,000 shares

(ii) Calculation of Net Current Assets as on 01.07.2020

	₹	*Black Ltd.* ₹		*White Ltd.* ₹
Current assets:				
Inventory		9,60,000		7,20,000
Trade receivables		16,80,000		10,80,000
Cash and Bank	14,40,000		4,20,000	
Less: Dividend	(6,00,000)		(3,60,000)	
Add: Profit after depreciation	4,80,000		2,40,000	
Add: Depreciation being non cash	90,000	14,10,000	60,000	3,60,000
		40,50,000		21,60,000
Less: Trade payables		(6,00,000)		(3,60,000)
		34,50,000		18,00,000

(iii) Profit and Loss Account balance of Black Ltd. as on 1.07.2020

	₹
P & L A/c balance as on 31.03.2020	7,20,000
Less: Dividend paid	(6,00,000)
	1,20,000
Add: Estimated profit for 3 months after charging depreciation	4,80,000
	6,00,000

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(iv) Property, plant and equipment as on 01.07.2020

Property, plant and equipment of Black Ltd. as on 31.03.2020		36,00,000
Less: Depreciation for 3 months [36,00,000 x 10% x 3/12]		(90,000)
		35,10,000
Property, plant and equipment of White Ltd.		
Taken over as on 31.03.2020	24,00,000	
Less: Proportionate depreciation for 3 months on fixed assets	(60,000)	
	23,40,000	
Add: Appreciation above the estimated book value	1,20,000	24,60,000
Total Property, plant and equipment as on 1.7.2020		59,70,000

(b) New Bank Limited

Profit and Loss Account for the year ended 31st March, 2021

		Schedule	*Year ended 31.03.2021*
			₹
I.	Income:		
	Interest earned	13	52,01,200
	Other income	14	3,25,800
	Total		55,27,000
II.	Expenditure		
	Interest expended	15	22,95,920
	Operating expenses	16	10,49,510
	Provisions and contingencies (6,50,000+2,37,000+2,50,000)		11,37,000
	Total		44,82,430
III.	Profits/Losses		
	Net profit for the year		10,44,570
	Profit brought forward		Nil
			10,44,570

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IV.	Appropriations		
	Transfer to statutory reserve (25% of 10,44,570)		2,61,143
	Proposed dividend		1,60,000
	Balance carried over to balance sheet		6,23,427
			10,44,570

Note: Profit & Loss Account balance of ₹ 6,23,427 will appear under the head 'Reserves and Surplus' in Schedule 2 of the Balance Sheet.

Year ended 31.3.2021 (₹)		
	Schedule 13 – Interest Earned	
I.	Interest/discount on advances/bills (Refer W.N.)	48,16,200
	Interest on cash credit*	2,65,000
	Interest on overdraft *	1,20,000
		52,01,200
	Schedule 14 – Other Income	
I.	Commission, exchange and brokerage	1,45,000
II.	Profit on sale of investment	1,15,800
III.	Rent received	65,000
		3,25,800
	Schedule 15 – Interest Expended	
I.	Interests paid on deposits	22,95,920
		22,95,920
	Schedule 16 – Operating Expenses	
I.	Payment to and provisions for employees (salaries & allowances)	8,40,510
II.	Depreciation on assets	40,000
III.	Director's fee, allowances and expenses	45,000
IV.	Auditor's fee	5,000
V.	Statutory (law) expenses	38,000
VI.	Postage and telegrams	60,000
VII.	Legal expenses	21,000
		10,49,510

* *Considered to be earned.*

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Working Notes:

1.

	₹
Interest and discount received	48,11,200
Add: Rebate on bills discounted on 31.3. 2020	20,000
Less: Rebate on bills discounted on 31.3. 2021	(15,000)
	48,16,200

2.

Classification of Assets	*Amount of Advances*	*% age of provision*	*Amount of provision*
Standard assets	10,00,000	0.40	4,000
Sub-standard assets	8,20,000	15	1,23,000
Doubtful assets:			
For one year (secured)	40,000	25	10,000
Loss assets	1,00,000	100	1,00,000
Total provision required			2,37,000

Question 6

*Answer any **four** of the following:*

(a) The following particulars are stated in the Balance Sheet of Deep Limited as on 31st March, 2020:

	(₹ In Lakhs)
Deferred Tax Liability (Cr.)	*28.00*
Deferred Tax Assets (Dr.)	*14.00*

The following transactions were reported during the year 2020-2021:

(i) Depreciation as per books was ₹ 70 Lakhs whereas Depreciation for Tax purposes was ₹ 42 Lakhs. There were no additions to Fixed Assets during the year.

(ii) Expenses disallowed in 2019-20 and allowed for tax purposes in 2020-21 were ₹ 14 Lakhs.

(iii) Share issue expenses allowed under section 35(D) of the Income Tax Act, 1961 for the year 2020-21 (1/10th of ₹ 70.00 lakhs incurred in 2019-20).

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(iv) *Repairs to Plant and Machinery were made during the year for ₹ 140.00 Lakhs and was spread over the period 2020-21 and 2021-22 equally in the books. However, the entire expenditure was allowed for income-tax purposes in the year 2020-21.*

Tax Rate to be taken at 40%.

You are required to show the impact of above items on Deferred Tax Assets and Deferred Tax Liability as on 31st March, 2021.

(b) *The different categories of shareholders of Earth Limited, who went into liquidation on 1st April, 2021 are as follows:*

(i) *32,000 Equity shares of ₹ 100 each, ₹ 80 paid up*

(ii) *48,000 Equity shares of ₹ 100 each, ₹ 35 paid up*

(iii) *12,80,000 Equity shares of ₹ 10 each, ₹ 7 paid up.*

You are required to distribute the surplus money among different categories of shareholders, if the surplus available with Liquidator after discharging all the liabilities is ₹ 32,00,000.

(c) *A Limited sells goods with unlimited right of return from its customers.*

The following pattern has been observed in the Return of Sales:

Time frame of Return from date of purchase	*% of Cumulative Sales*
Between 0-1 month	*6%*
Between 1-2 months	*7%*
Between 2-3 months	*8%*

The Company has made Sales of ₹ 36 Lakhs in the month of January, ₹ 48 Lakhs in the month of February and of ₹ 60 Lakhs in the month of March. The Total Sales for the Financial Year have been ₹ 400 Lakhs and the Cost of Sales was ₹ 320 Lakhs. You are required to determine the amount of Provision to be made and Revenue to be recognized for the year ended 31st March.

(d) *At the beginning of the year 1, Harmony Limited grants 600 options to each of its 1000 employees. The contractual life of option granted is 6 years.*

Other relevant information is as follows:

Vesting Period	*3 years*
Exercise period	*3 years*
Expected Life	*5 years*
Exercise Price	*₹ 100*
Market Price	*₹ 100*
Expected Forfeitures per year	*3%*

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The option granted vest according to a graded schedule of 25% at the end of the year 1, 25% at the end of the year 2 and the remaining 50% at the end of the year 3.

You are required to calculate total compensation expenses for the options expected to vest and cost and cumulative cost to be recognized at the end of all the three years assuming that expected forfeiture rate does not change during the vesting period when the Intrinsic value of the options at the grant date is ₹ 7 per option.

(e) Sapra Limited has laid down the following terms upon the sanction of the reconstruction scheme by the court.

(i) The shareholders to receive in lieu of their present holding at 7,50,000 shares of ₹ 10 each, the following:

- *New fully paid ₹ 10 Equity Shares equal to 3/5th of their holding.*
- *Fully paid ₹ 10, 6% Preference Shares to the extent of 2/5th of the above new equity shares.*
- *7% Debentures of ₹ 250,000.*

(ii) Goodwill which stood at ₹ 2,70,000 is to be completely written off.

(iii) Plant & Machinery to be reduced by ₹ 1,00,000, Furniture to be reduced by ₹ 88,000 and Building to be appreciated by ₹ 1,50,000.

(iv) Investment of ₹ 6,00,000 to be brought down to its existing market price of ₹ 1,80,000.

(v) Write off Profit & Loss Account debit balance of ₹ 2,25,000.

In case of any shortfall, the balance of General Reserve of ₹ 42,000 can be utilized to write off the losses under reconstruction scheme.

You are required to show the necessary Journal Entries in the books of Sapra Limited of the above reconstruction scheme considering that balance in General Reserve is utilized to write off the losses. ***(4 Parts x 5 Marks = 20 Marks)***

Answer

(a) Impact of various items in terms of deferred tax liability/deferred tax asset on 31.3.21

Transactions	*Analysis*	*Nature of difference*	*Effect*	*Amount (₹)*
Difference in depreciation	Generally, written down value method of depreciation is adopted under IT Act which leads to higher depreciation in earlier years of useful life of the	Responding timing difference	Reversal of DTL	28 lakhs × 40% = ₹ 11.20 lakhs

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	asset in comparison to later years.			
Disallowances, as per IT Act, of earlier years	Tax payable for the earlier year was higher on this account.	Responding timing difference	Reversal of DTA	14 lakhs × 40% = 5.6 lakhs
Share issue expenses	Due to disallowance of full expenditure under IT Act, tax payable in the earlier years was higher.	Responding timing difference	Reversal of DTA	7 lakhs × 40% = ₹ 2.8 lakhs
Repairs to plant and machinery	Due to allowance of full expenditure under IT Act, tax payable of the current year will be less.	Originating timing difference	Increase in DTL	70 lakhs × 40% =28 lakhs

(b)

Particulars	I	II	III	Total (₹)
No. of shares	32,000	48,000	12,80,000	13,60,000
Equity share capital	32,00,000 (@₹ 100)	48,00,000 (@₹ 100)	128,00,000 (@₹ 10)	208,00,000
Paid up share Capital (A)	25,60,000	16,80,000	89,60,000	132,00,000
Loss due to Liquidation (B) (₹ 100,00,000 in 2:3:8)	(15,38,462)	(23,07,692)	(61,53,846)	(100,00,000)
Surplus/ (deficiency) amount distributed among different categories of shareholders (A) – (B)	10,21,538	(6,27,692)	28,06,154	32,00,000

Loss due to Liquidation ₹ 100,00,000 will be distributed in ratio in 2:3:8

Note: Shareholders of category I and III will get surplus amount, while category II shareholders will pay ₹ 6,27,692.

Alternative Answer

Particulars	**I**	**II**	**III**
No. of shares (A)	32,000	48,000	12,80,000
Nominal value per share	₹ 100	₹ 100	₹ 10
Paid up value per share (B)	80	35	7
Loss per share due to Liquidation (C)	48.08	48.08	4.808

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Surplus/ Deficiency amount distributed among different categories of shareholders (A) x [(B) – (C)]	10,21,440	(6,27,840)	28,05,760

Calculation of loss per share

Total Paid up Share Capital = ₹ 1,32,00,000

Surplus = ₹ 32,00,000

Loss to Shareholders = ₹1,00,00,000

No. Shares = = 2,08,000 [32,000 + 48,000 + (12,80,000 x 10/100)]

Loss per Share = = ₹ 48.08

(c) Amount of provision

The goods are sold with a right to return. The existence of such right gives rise to a present obligation on the company as per AS 29, 'Provisions, Contingent Liabilities and Contingent Assets'. According to the standard, a provision should be created on the Balance sheet date, for sales returns after the Balance Sheet date, at the best estimate of the loss expected, along with any estimated incremental cost that would be necessary to resell the goods expected to be returned.

Sales during	Sales value (₹ in lacs)	Sales value (cumulative) ₹ (in lacs)	Likely returns (%)	Likely returns ₹ (in lacs)	Provision @ 20% (₹ in lacs) (Refer W.N.)
March	60	60	6%	3.60	0.720
February	48	108	7%	7.56	1.512
January	36	144	8%	11.52	2.304
Total				22.68	4.536

Revenue to be recognized

Revenue in respect of sale of goods is recognized fully at the time of sale itself assuming that the company has complied with the conditions stated in AS 9 relating to recognition of revenue in the case of sale of goods. As per AS 9, in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions have been fulfilled:

(i) Seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) No significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods. AS 9 also provides that in case of retail sales offering a guarantee of 'money back, if not completely satisfied, it may be appropriate

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to recognize the sale but to make a suitable provision for returns based on previous experiences.

Therefore, sale of ₹ 36 lakhs, ₹ 48 lakhs and ₹ 60 lakhs made in the months of January, February and March will be recognized at full value. Thus, total revenue to be recognized for ₹ 400 lacs for the year.

Working Note:

Calculation of Profit % on sales

	(₹ in lacs)
Sales for the year	400
Less: Cost of sales	(320)
Profit	80
Profit mark up on sales (80/400) x 100 = 20%	

(d) Since the options granted have a graded vesting schedule, the enterprise segregates the total plan into different groups, depending upon the vesting dates and treats each of these groups as a separate plan. The enterprise determines the number of options expected to vest under each group as below:

Vesting Date (Year-end)		**Options expected to vest**
1	600 options x 1,000 employees x 25% x 0.97	1,45,500 options
2	600 options x 1,000 employees x 25% x 0.97 x 0.97	1,41,135 options
3	600 options x 1,000 employees x 50% x 0.97x 0.97 x 0.97	2,73,802 options
Total options expected to vest		5,60,437 options

In case of intrinsic value method, total compensation expense for the options expected to vest would be

Vesting Date (End of year)	**Expected Vesting (No. of Options)**	**Value per Option (₹)**	**Compensation Expense (₹)**
1	1,45,500	7	10,18,500
2	1,41,135	7	9,87,945
3	2,73,802	7	19,16,614
	5,60,437		39,23,059

Total compensation expense of ₹ 39,23,059, determined at the grant date, would be attributed to the years 1, 2 and 3 as below:

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Vesting Date (End of year)	Cost to be recognized		
	Year 1	Year 2	Year 3
1	10,18,500		
2	4,93,972.50*	4,93,972.50	
3	6,38,871	6,38,871	6,38,872
Cost for the year	21,51,343.50	11,32,843.50	6,38,872
Cumulative cost	21,51,343.50	32,84,187	39,23,059

** Alternatively, it may be rounded off as ₹ 4,93,972 in year 1 and ₹ 4,93,973 in year 2.*

(e) Journal Entries

		₹	₹
Equity Share Capital (old) A/c	Dr.	75,00,000	
To Equity Share Capital (₹ 10) A/c			45,00,000
To 6% Preference Share Capital (₹ 10) A/c			18,00,000
To 7% Debentures A/c			2,50,000
To Capital Reduction A/c			9,50,000
(Being new equity shares, 6% Preference Shares, 7% Debentures issued and the balance transferred to Reconstruction account as per the Scheme)			
Building A/c	Dr.	1,50,000	
Capital Reduction A/c	Dr.	9,53,000	
To Goodwill Account			2,70,000
To Plant and Machinery Account			1,00,000
To Furniture Account			88,000
To Investment A/c			4,20,000
To Profit & Loss A/c			2,25,000
(Being Capital Reduction Account utilized for writing off of Goodwill, Plant and Machinery, furniture, investment and Profit & Loss as per the scheme)			
General reserve A/c	Dr.	3,000	
To Capital Reduction A/c			3,000
(Being general reserve utilized to write off the balance in Capital reduction A/c)			

Note: In place of Capital Reduction Account, Reconstruction Account or Internal Reconstruction Account may also be used in the above journal entries.

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PAPER – 6 : AUDITING AND ASSURANCE

*Question No.**1** is compulsory.*

*Attempt any **four** questions from the remaining **five** questions.*

Question 1

State with reasons whether the following statements are correct or incorrect. (Answer any seven)

(a) Misstatement in the financial statements is always because of a fraud.

(b) The first auditor of a Multi-State co-operative Society will be appointed in Annual General Meeting.

(c) Assertions refer to the representations by the auditor to consider the different types of the potential misstatements that may occur.

(d) There is a very thin difference between advocacy threats and intimidation threats to an auditor while performing his duty.

(e) In stratified sampling, the conclusion drawn on each stratum can be directly projected to the whole population.

(f) With reference to General IT control, the objective of Data Center and Network Operations is to ensure that systems are developed, configured and implemented to meet financial reporting objectives.

(g) In the context of related parties, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater.

(h) The Location of the description of the auditor's responsibilities for the audit of the financial statements is always within the body of the auditor's report. ***(2 x 7 = 14 Marks)***

Answer

(a) Incorrect: Misstatements in the financial statements can arise from either fraud or error. The distinguishing factor between fraud and error is whether the underlying action that results in the misstatement of the financial statements is intentional or unintentional. Hence misstatement can arise from error or fraud.

Alternative solution: Misstatement refers to a difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation or disclosure that is required for the item to be in accordance with the applicable financial reporting frame work. Hence misstatement can arise from error or fraud.

(b) Incorrect: Section 70 of the Multi-State Co-operative Societies Act, 2002 provides that the first auditor or auditors of a Multi-State co-operative society shall be appointed by the board within one month of the date of registration of such society and the auditor or auditors so appointed shall hold office until the conclusion of the first annual general meeting. If the

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board fails to exercise its powers under this sub-section, the Multi-State Co-operative Society in the general meeting may appoint the first auditor or auditors.

(c) **Incorrect:** Assertions refer to representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur.

(d) **Incorrect:** *Advocacy threats*, which occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised. e.g. when an auditor deals with shares or securities of the audited company, or becomes the client's advocate in litigation and third party disputes.

Intimidation threats, which occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. Basically, these could happen because of threat of replacement over disagreements with the application of accounting principles, or pressure to disproportionately reduce work in response to reduced audit fees.

So, it can be concluded that there is not very thin difference between the advocacy threats and intimidation threats.

(e) **Incorrect:** In case of stratified sampling, the conclusions are drawn on the stratum. The combination of all the conclusions on stratum together will be used to determine the possible effect of misstatement or deviation. Hence the samples are used to derive conclusion only on the respective stratum from where they are drawn and not the whole population**.**

(f) **Incorrect:** Objective of Data Center and Network Operations is to ensure that production systems are processed to meet financial reporting objectives.

Objective of Application system acquisition, development, and maintenance is to ensure that systems are developed, configured and implemented to meet financial reporting objectives.

(g) **Correct:** In the context of related parties, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for such reasons as the following:

- Management may be unaware of the existence of all related party relationships.
- Related party relationships may present a greater opportunity for collusion, concealment or manipulation by management.

(h) **Incorrect:** The description of the auditor's responsibilities for the audit of the financial statement shall be always shown as below -

- Within the body of the auditor's report
- Within an appendix to the auditor's report, in which case the auditor's report shall include a reference to the location of the appendix or

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By a specific reference within the auditor's report to the location of such a description on a website of an appropriate authority, where law, regulation or national auditing standards expressly permit the auditor to do so

Question 2

(a) Documentation of audit plan serves as a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks. What all activities in the planning phase should form part of auditor's documentation? State with examples. ***(4 Marks)***

(b) CA B is appointed as an auditor of M/s. Divine Pharmacy, a wholesale medicine supplier. While auditing for the financial year 2020-21, CA B wants to use test checking technique. Advise CA B, what kind of precautions should be taken by him in this regard. ***(4 Marks)***

(c) In case of certain subject matters, limitations on the auditor's ability to detect material misstatements are particularly significant. Explain such assertions or subject matters.

(3 Marks)

(d) The statutory auditor of ABC Ltd., CA Raj identifies certain inconsistencies while applying analytical procedures to the financial and non-financial data of ABC Ltd. With reference to SA 520 on "Analytical Procedures", how CA Raj shall investigate such differences?

(3 Marks)

Answer

(a) The documentation of the audit plan is a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level in response to the assessed risks.

Example

The following things should form part of auditor's documentation:

- A summary of discussions with the entity's key decision makers.
- Documentation of audit committee pre-approval of services, where required.
- Audit documentation access letters.
- Other communications or agreements with management or those charged with governance regarding the scope, or changes in scope, of our services.
- Auditor's report on the entity's financial statements.
- Other reports as specified in the engagement agreement (e.g., debt covenant compliance letter).

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(b) While auditing the accounts of Divine Pharmacy, CA B wanted to use Test Checking technique. The following Precautions should to be taken by CA B while applying test check techniques:

- ♦ Thorough study of accounting system should be done before adopting sampling
- ♦ Proper study of internal control systems.
- ♦ Areas which are not suitable for sampling should be carefully considered. eg: compliance with statutory provisions, transactions of unusual nature etc.
- ♦ Proper planning for Sampling methods to be used and explaining the staff,
- ♦ Transactions and balances have to be properly classified (stratified)
- ♦ Sample size should be appropriately determined.
- ♦ Sample should be chosen in unbiased way,
- ♦ Errors located in the sample should be analyzed properly.

(c) In case of certain subject matters, limitations on the auditor's ability to detect material misstatements are particularly significant. Such assertions or subject matters include:

- Fraud, particularly fraud involving senior management or collusion
- The existence and completeness of related party relationships and transactions.
- The occurrence of non-compliance with laws and regulations.
- Future events or conditions that may cause an entity to cease to continue as a going concern.

(d) If analytical procedures performed in accordance with SA 520 identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by:

(i) **Inquiring of management and obtaining appropriate audit evidence relevant to management's responses:** Audit evidence relevant to management's responses may be obtained by evaluating those responses taking into account the auditor's understanding of the entity and its environment, and with other audit evidence obtained during the course of the audit.

(ii) **Performing other audit procedures as necessary in the circumstances:** The need to perform other audit procedures may arise when, for example, management is unable to provide an explanation, or the explanation, together with the audit evidence obtained relevant to management's response, is not considered adequate.

Conclusion: In the present case CA Raj identifies certain inconsistencies while applying analytical procedure to financial or non financial data of ABC Ltd. CA Raj should inquire the management of ABC Ltd, and obtain sufficient and appropriate

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audit evidences relevant to the management response. Further CA Raj should also perform other audit procedures, if required in the circumstances of the case to obtain further sufficient and appropriate evidence.

Question 3

(a) *The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report, that requires adjustment of, or disclosure in, the financial statements have been identified. With reference to SA 560, what are the audit procedures included in the auditor's risk assessment?* ***(4 Marks)***

(b) *CA Rohit is appointed as an auditor of Grace Ltd., he wants to design a suitable confirmation request letter for a few debtors of Grace Ltd. As a senior auditor of the firm, explain to him with reference to SA 505 "External Confirmation" all the conditions that should be present to use Negative Confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level.*

(4 Marks)

(c) *CA L is in the process of finalizing his Risk Assessment Procedures of Effluent Limited which include observation and inspection that may support inquiries of management and others. Discuss few examples of audit procedures which include observation or inspection of the entity's operations.* ***(3 Marks)***

(d) *Foreceful Limited is a company dealing in mobile spare parts and having its showrooms in almost all the states in the country. For FY 2020-21, the company transferred its accounts from manual to computerized system (SAP). PQR & Co., Chartered Accountants have specialization in the system audit and have been appointed as the system auditor. PQR & Co., at the end of the audit concludes that there are certain findings or exceptions in IT environment and IT controls of the company which needs to be assessed and reported. Mention those points of consideration.* ***(3 Marks)***

Answer

(a) The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified.

The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions.

The auditor shall perform the procedures required above so that they cover the period from the date of the financial statements to the date of the auditor's report, or as near as practicable thereto. The auditor shall take into account the auditor's risk assessment which shall include the following:

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(a) Obtaining an understanding of any procedures management has established to ensure that subsequent events are identified.

(b) Inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements.

(c) Reading minutes, if any, of the meetings, of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available.

(d) Reading the entity's latest subsequent interim financial statements, if any.

(b) **Negative confirmations** is a request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request. Negative information provide less persuasive audit evidence than positive confirmations. Accordingly, CA Rohit, Auditor of Grace Ltd, shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level unless all of the following are present:

(a) The auditor has assessed the risk of material misstatement as low and has obtained sufficient appropriate audit evidence regarding the operating effectiveness of controls relevant to the assertion;

(b) The population of items subject to negative confirmation procedures comprises a large number of small, homogeneous, account balances, transactions or conditions;

(c) A very low exception rate is expected; and

(d) The auditor is not aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests.

(c) Observation and inspection may support inquiries of management and others, and may also provide information about the entity and its environment.

Examples of audit procedures which include observation or inspection of the entity's operations are:

(1) Documents (such as business plans and strategies), records, and internal control manuals.

(2) Reports prepared by management (such as quarterly management reports and interim financial statements) and those charged with governance (such as minutes of board of director's meetings)

(3) The entity's premises and plant facilities.

(d) At the conclusion of each audit, it is possible that there will be certain findings or exceptions in IT environment and IT controls of the company that need to be assessed and reported

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to relevant stakeholders including management and those charged with governance viz., Board of directors, Audit committee.

Some points to consider are as follows:

- Are there any weaknesses in IT controls?
- What is the impact of these weaknesses on overall audit?
- Report deficiencies to management – Internal Controls Memo or Management Letter.
- Communicate in writing any significant deficiencies to Those Charged With Governance.

The auditor needs to assess each finding or exception to determine impact on the audit and evaluate if the exception results in a deficiency in internal control.

Question 4

(a) CA "X" while conducting an audit of Joyful Ltd. found a considerable increase in sales as compared to the previous year, he doubts that few fictitious sales have been recorded by the company to overstate its revenues. Discuss any four audit procedures to be undertaken by the auditor to ensure revenue from sales of goods and services performed during the period is not overstated? ***(4 Marks)***

(b) You have been appointed as an auditor of a health care service provider. Briefly discuss the special points that should be kept in mind as an auditor for developing an audit programme. ***(4 Marks)***

(c) The value of intangible assets may diminish due to efflux of time, use and/or obsolescence. The diminution of the value represents cost to the entity for earning revenue during a given period. Discuss the audit procedures to be applied by the auditor to ensure that Intangible assets have been valued appropriately and as per generally accepted accounting policies and practices. ***(3 Marks)***

(d) Care Ltd. is an unlisted public limited company, During the financial year 2019-20, the paid-up share capital of Care Ltd. was INR 50 crore and the turnover was INR 80 crore. During the financial year 2020-21, the Board of Directors of the company appointed an internal auditor. Whether Care Ltd. is required to appoint an internal auditor according to the provisions of the Companies act, 2013? ***(3 Marks)***

Answer

(a) CA X, having doubts about fictitious sales being recorded by Joyful Ltd would ensure that revenue is not overstated by performing following audit procedures:

- Check whether a single sales invoice is recorded twice or a cancelled sales invoice could also be recorded.
- Test check few invoices with their relevant entries in sales journal.

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- Obtain confirmation from few customers to ensure genuineness of sales transaction
- Whether any fictitious customers and sales have been recorded.
- Whether any shipments were done without the consent and agreement of the customer, especially at the year end to inflate the sales figure
- Whether unearned revenue recorded as earned.
- Whether any substantial uncertainty exists about collectability
- Whether customer obligations are contingent on other actions (financing, resale etc.)

(b) The special points to be kept in mind as an auditor for developing an audit programme of healthcare service provider are:

1. **Register of Patients:** Auditors to vouch the Register of patients with copies of bills issued to them. Verify bills for a selected period with the patients' attendance record to see that the bills have been correctly prepared. Also see that bills have been issued to all patients from whom an amount was recoverable according to the rules of the hospital.
2. **Collection of Cash**: Auditor to check cash collections as entered in the Cash Book with the receipts, counterfoils and other evidence for example, copies of patients bills, counterfoils of dividend and other interest warrants, copies of rent bills, etc.
3. **Income from Investments, Rent etc**: See by reference to the property and Investment Register that all income that should have been received by way of rent on properties, dividends, and interest on securities have been collected.
4. **Legacies and Donations**: Ascertain that legacies and donations received for a specific purpose have been applied in the manner agreed upon.
5. **Reconciliation of Subscriptions**: Trace all collections of subscription and donations from the Cash Book to the respective Registers. Reconcile the total subscriptions due (as shown by the Subscription Register and the amount collected and that still outstanding).
6. **Authorisation and Sanctions**: Vouch all purchases and expenses and verify that the capital expenditure was incurred only with the prior sanction of the Trustees or the Managing Committee and that appointments and increments to staff have been duly authorised.
7. **Grants and TDS**: Verify that grants, if any, received from Government or local authority has been duly accounted for. Also, that refund in respect of taxes deducted at source has been claimed.

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8. **Budgets**: Compare the totals of various items of expenditure and income with the amount budgeted for them and report to the Trustees or the Managing Committee, significant variations which have taken place.
9. **Internal Check**: Examine the internal check as regards the receipt and issue of stores; medicines, linen, apparatus, clothing, instruments, etc. so as to insure that purchases have been properly recorded in the Inventory Register and that issues have been made only against proper authorisation.
10. **Depreciation**: See that depreciation has been written off against all the assets at the appropriate rates.
11. **Registers**: Inspect the bonds, share scrips, title deeds of properties and compare their particulars with those entered in the property and Investment Registers.
12. **Inventories**: Obtain inventories, especially of stocks and stores as at the end of the year and check a percentage of the items physically; also compare their total values with respective ledger balances.
13. **Management Representation and Certificate**: Get proper Management Representation and Certificate with respect to various aspects covered during the course of audit.

Alternative Answer

(b) Developing the Audit Programme

1. **Written Audit Programme:** The auditor should prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.
2. **Audit Objective and Instruction to Assistants:** The programme may also contain the audit objectives for each area and should have sufficient details to serve as a set of instructions to the assistants involved in the audit and as a means to control the proper execution of the work.
3. **Reliance on Internal Controls:** In preparing the audit programme, the auditor, having an understanding of the accounting system and related internal controls, may wish to rely on certain internal controls in determining the nature, timing and extent of required auditing procedures. The auditor may conclude that relying on certain internal controls is an effective and efficient way to conduct his audit. However, the auditor may decide not to rely on internal controls when there are other more efficient ways of obtaining sufficient appropriate audit evidence. The auditor should also consider the timing of the procedures, the coordination of any assistance expected from the client, the availability of assistants, and the involvement of other auditors or experts.
4. **Timings of Performance of Audit Procedures:** The auditor normally has flexibility in deciding when to perform audit procedures. However, in some cases, the auditor may have no discretion as to timing, for example, when observing the taking of

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inventories by client personnel or verifying the securities and cash balances at the year-end.

5. **Audit Planning:** The audit planning ideally commences at the conclusion of the previous year's audit, and along with the related programme, it should be reconsidered for modification as the audit progresses. Such consideration is based on the auditor's review of the internal control, his preliminary evaluation thereof, and the results of his compliance and substantive procedures.

(c) The value of intangible assets may diminish due to efflux of time, use and/ or obsolescence. The diminution of the value represents cost to the entity for earning revenue during a given period. Unless this cost in the form of amortization is charged to the accounts, the profit or loss would not be correctly ascertained and the values of intangible asset would be shown at higher amounts. The auditor should:

- Verify that the entity has charged amortization on all intangible assets;
- Verify that the amortization method used reflects the pattern in which the asset's future economic benefits are expected to be consumed by the entity.

The auditor should also verify whether the management has done an impairment assessment to determine whether an intangible asset is impaired. For this purpose, the auditor needs to verify whether the entity has applied AS 28 - Impairment of Assets for determining the manner of reviewing the carrying amount of its intangible asset, determining the recoverable amount of the asset to determine impairment loss, if any

(d) **As per section 138 of the Companies Act, 2013**: following class of companies (prescribed in rule 13 of Companies (Accounts) Rules, 2014) shall be required to appoint an internal auditor or a firm of internal auditors, namely-

(a) every listed company;

(b) every unlisted public company having-

(i) paid up share capital of fifty crore rupees or more during the preceding financial year; or

(ii) turnover of two hundred crore rupees or more during the preceding financial year; or

(iii) outstanding loans or borrowings from banks or public financial institutions exceeding one hundred crore rupees or more at any point of time during the preceding financial year; or

(iv) outstanding deposits of twenty five crore rupees or more at any point of time during the preceding financial year.

Conclusion: Applying the above to the given problem, since Care Ltd is an unlisted public company and having paid up share capital of ₹ 50 crores during the preceding F.Y. 2019-20, therefore, Care Ltd is required to appoint an Internal Auditor.

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Question 5

(a) Shine Industries is an electricity generating company engaged in generation of electricity for captive consumption. Its gross turnover was INR 68 crores during the immediately preceding financial year.

Management of shine industries has not maintained any cost records as they felt that there is no requirement for them· to maintain any cost records or conduct any cost audit. Comment. ***(4 Marks)***

(b) The recommendation for appointment of auditors is only one of the several functions performed by audit committee. Discuss atleast four other key responsibilities of Audit Committee in accordance with Section 177 of the Companies Act, 2013. ***(4 Marks)***

(c) List out any three circumstances which induce the management/ employee to commit the fraud. ***(3 Marks)***

(d) CA Guru is in the process of preparing the final audit report of JPA Private Limited and would like to disclaim his opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence. How CA Guru shall amend the description of the auditor's responsibilities as required by SA 700 (Revised)? ***(3 Marks)***

Answer

(a) Applicability for Maintenance of Cost Records: Rule 3 of the Companies (Cost Records and Audit) Rules, 2014 provides the classes of companies, engaged in the production of goods or providing services, having an overall turnover from all its products and services of ₹ 35 crore or more during the immediately preceding financial year, required to include cost records in their books of account. These companies include Foreign Companies defined in sub-section (42) of section 2 of the Act, but exclude a company classified as a Micro enterprise or a Small enterprise including as per the turnover criteria provided under Micro, Small and Medium Enterprises Development Act, 2006. The said rule has divided the list of companies into (A) Regulated sectors and (B) Non-regulated sectors.

Cost Audit Rules Not to Apply in Certain Cases: The requirement for cost audit under these rules shall not be applicable to a company which is covered under Rule 3, and,

(i) whose revenue from exports, in foreign exchange, exceeds 75% of its total revenue; or

(ii) which is operating from a special economic zone.

(iii) which is engaged in generation of electricity for captive consumption through Captive Generating Plant.

Conclusion: Since Shine Industries is having an overall turnover of ₹ exceeding 35 crore during the immediately preceding financial year, therefore, it is required to include cost records in its books of account but is not required to get its accounts audited because Cost

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Audit Rules are not applicable on Companies engaged in generation of electricity for captive consumption.

(b) Audit committee performs wide functions. The recommendation for appointment of auditors is only one of the several functions performed by audit committee. Under section 177 of Companies Act, 2013, audit committee is responsible for following actions :-

(i) the recommendation for appointment, remuneration and terms of appointment of auditors of the company;

(ii) review and monitor the auditor's independence and performance, and effectiveness of audit process;

(iii) examination of the financial statement and the auditors' report thereon;

(iv) approval or any subsequent modification of transactions of the company with related parties;

(v) scrutiny of inter-corporate loans and investments;

(vi) valuation of undertakings or assets of the company, wherever it is necessary;

(vii) evaluation of internal financial controls and risk management systems;

(viii) monitoring the end use of funds raised through public offers and related matters.

Hence, audit committee oversees range of matters including those related to making recommendation for appointment of auditors.

(c) Circumstances which induce the management/ employee to commit fraud are :

- Financial obligations/ Pressure.
- Management's unrealistic goals.
- Dissatisfied Employees or Lack of motivation among employees.
- Name game (eg. management using power of authority by asking employees to do something illegal).
- Opportunity to commit fraud.

(d) Since the auditor, CA Guru, disclaims an opinion on the financial statements due to an inability to obtain sufficient appropriate audit evidence of JPA Pvt Ltd, the auditor (CA Guru) shall amend the description of the auditor's responsibilities required by SA 700 (Revised) to include only the following:

(a) A statement that the auditor's responsibility is to conduct an audit of the entity's financial statements in accordance with Standards on Auditing and to issue an auditor's report;

(b) A statement that, however, because of the matter(s) described in the Basis for Disclaimer of Opinion section, the auditor was not able to obtain sufficient appropriate

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audit evidence to provide a basis for an audit opinion on the financial statements , and

(c) The statement about auditor independence and other ethical responsibilities required by SA 700 (Revised)

Question 6

(*a*) *N Ltd. has been sanctioned a Cash Credit Facility by XYZ Bank Ltd. for INR 1 crore and drawing power as per the stock statements furnished for the last quarter is INR 80 Lakh. Outstanding balance in the account is INR 75 lakh. Interest charged to the account is INR 3.5 Lakh and total credit into the account for the quarter is INR 2.5 Lakh. As an auditor how will you report this account in your report.* ***(4 Marks)***

OR

Define Government Audit and explain its objectives.

(b) You have been appointed as an auditor of VJM Schools. Discuss the points which merit your consideration as an auditor while verifying Assets and Liabilities of VJM Schools.

(4 Marks)

(c) Tomo Construction Engineering LLP approached CA K to understand various returns to be maintained and filed by them. Guide/Discuss the various returns to be maintained and filed by them. ***(3 Marks)***

(d) Discuss the advantages of engagement team discussion done at the planning stage of the bank audit. ***(3 Marks)***

Answer

(a) Out of Order: An account should be treated as 'out of order' if:

- the outstanding balance remains continuously in excess of the sanctioned limit/drawing power or
- In cases where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, but there are no credits continuously for 90 days as on the date of Balance Sheet; or
- Credits are there but are not enough to cover the interest debited during the same period, these accounts should be treated as 'out of order'.

Applying the above to the given case of N Ltd, its Drawing power is ₹ 80 Lakhs, although outstanding balance in the account is ₹ 75 Lakhs, but still the account would be reported as out of order because credits in the account are not sufficient to cover the interest debited during the same period

OR

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Government auditing is

- the objective, systematic, professional and independent examination
- of financial, administrative and other operations
- of a public entity
- made subsequently to their execution
- for the purpose of evaluating and verifying them,
- presenting a report containing explanatory comments on audit findings together with conclusions and recommendations for future actions
- by the responsible officials
- and in the case of examination of financial statements, expressing the appropriate professional opinion regarding the fairness of the presentation.

OBJECTIVES of Govt Audit are:

(a) **Accounting for Public Funds:** Government audit serves as a mechanism or process for public accounting of government funds.

(b) **Appraisal of Government policies:** It also provides public accounting of the operational, management, programme and policy aspects of public administration as well as accountability of the officials administering them.

(c) **Base for Corrective actions:** Audit observations based on factual data collection also serve to highlight the lapses of the lower hierarchy, thus helping supervisory level officers to take corrective measures.

(d) **Administrative Accountability:** The main objective of audit is a combination of ensuring accountability of administration to legislature and functioning as an aid to administration.

(b) Verification of Assets & Liabilities of VJM Schools:

1. Report any old heavy arrears on account of fees, dormitory rents, etc. to the Managing Committee.
2. Confirm that caution money and other deposits paid by students on admission, have been shown as liability in the balance sheet and not transferred to revenue, unless they are not refundable.
3. See that the investments representing endowment funds for prizes are kept separate and any income in excess of the prizes has been accumulated and invested along with the corpus.

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4. Ascertain that the system ordering inspection on receipt and issue of provisions, food stuffs, clothing and other equipment is efficient and all bills are duly authorised and passed before payment.
5. Verify the inventories of furniture, stationery, clothing, provision and all equipment etc. These should be checked by reference to Inventory Register or corresponding inventories of the previous year and values applied to various items should be test checked.

(c) Returns to be maintained and filed by an LLP:

- Every LLP would be required to file annual return in Form 11 with ROC within 60 days of closer of financial year. The annual return will be available for public inspection on payment of prescribed fees to Registrar.
- Every LLP is also required to submit Statement of Account and Solvency in Form 8 which shall be filed within a period of thirty days from the end of six months or the financial year to which the Statement of Account and Solvency relates.

(d) Advantages of engagement team discussion done at the planning stage of Bank audit are:

- Specific emphasis should be provided to the susceptibility of the bank's financial statements to material misstatement due to fraud, that enables the engagement team to consider an appropriate response to fraud risks, including those related to engagement risk, pervasive risks, and specific risks.
- It further enables the audit engagement partner to delegate the work to the experienced engagement team members, and to determine the procedures to be followed when fraud is identified.
- Further, audit engagement partner may review the need to involve specialists to address the issues relating to fraud.

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PAPER – 7: ENTERPRISE INFORMATION SYSTEMS AND STRATEGIC MANAGEMENT

SECTION – A: ENTERPRISE INFORMATION SYSTEMS

*Question No. **1** is compulsory.*

*Answer any **three** questions from the rest.*

Question 1

(a) Business Intelligence is a technology-driven process for analysing data and presenting actionable information to help corporate executives, business managers and other end users make more informed business decisions. List out the benefits of using Business Intelligence in an organization. ***(3 Marks)***

(b) Briefly discuss the characteristics of Core Banking Systems (CBS). ***(2 Marks)***

Answer

(a) The list of various benefits of Business Intelligence (BI) is provided below:

- Business Intelligence improves the overall performance of the company using it. The potential benefits of BI programs include –
  - accelerating and improving decision making;
  - optimizing internal business processes;
  - enhancing communication among departments while coordinating activities;
  - increasing operational efficiency;
  - driving new revenues; and
  - gaining competitive advantages over business rivals.
- BI systems can also help companies identify market trends and spot business problems that need to be addressed.
- BI systems help in enhancing customer experience, allowing for the timely and appropriate response to customer problems and priorities.
- BI data can include historical information as well as new data gathered from source systems as it is generated, thus enabling BI analysis to support both strategic and tactical decision-making processes.
- The ultimate objective of BI is to improve the timeliness and quality of information. Business intelligence provides the information regarding -
  - the position of the firm in comparison to its competitors.
  - the changes in customer behaviour and spending patterns.

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- the capabilities of the firm.
- the market conditions, future trends, demographic, and economic information.
- the social, regulatory, and political environment.
- what the other firms in the market are doing.

(b) The characteristics of Core Banking Systems (CBS) are as follows:

- CBS is centralized Banking Application software that has several components which have been designed to meet the demands of the banking industry.
- CBS is supported by advanced technology infrastructure and has high standards of business functionality.
- Core Banking Solution brings significant benefits such as a customer is a customer of the bank and not only of the branch.
- CBS is modular in structure and is capable of being implemented in stages as per requirements of the bank.
- A CBS software also enables integration of all third-party applications including in-house banking software to facilitate simple and complex business processes.
- There is a common database in a central server located at a Data Center which gives a consolidated view of the bank's operations.
- Branches function as delivery channels providing services to its customers.

Question 2

(a) PQR limited is planning to receive payment from the customers through Digital Payments. Though there are lots of benefits of digital payments but there are drawbacks as well. Briefly explain any six drawbacks of digital payments. ***(6 Marks)***

(b) Internal control provides an entity with only reasonable assurance and not absolute assurance about achieving the entity's operational, financial reporting and compliance objectives. Explain any four inherent limitations of Internal Control System. ***(4 Marks)***

Answer

(a) Some drawbacks of Digital Payments are listed below:

(i) **Difficult for a Non-technical person:** As most of the digital payment modes are based on mobile phone, the internet, and cards; these modes are somewhat difficult for non-technical persons such as farmers, workers etc.

(ii) **The risk of data theft:** There is a big risk of data theft associated with the digital payment. Hackers can hack the servers of the bank or the E-Wallet a customer is

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using; and easily get his/her personal information. They can use this information to steal money from the customer's account.

(iii) **Overspending:** One keeps limited cash in his/her physical wallet and hence thinks twice before buying anything. But if digital payment modes are used, one has access to all his/her money that can result in overspending.

(iv) **Disputed transactions:** In case the electronic money such as credit card is misused by someone else, it is very difficult to receive a refund.

(v) **Increased business costs:** Digital payment systems come with an increased need to protect sensitive financial information stored in a business's computer systems from unauthorized access. Businesses have to incur additional costs in procuring, installing and maintaining sophisticated payment-security technologies.

(vi) **The necessity of internet access:** Digital payment cannot be performed if Internet connection fails.

(b) Some inherent limitations of Internal Control System are as follows:

- Management's consideration that the cost of an internal control does not exceed the expected benefits to be derived.
- The fact that most internal controls do not tend to be directed at transactions of unusual nature, the reasonable potential for human error such as - due to carelessness, distraction, mistakes of judgment and misunderstanding of instructions.
- The possibility of circumvention of internal controls through collusion with employees or with parties outside the entity.
- The possibility that a person responsible for exercising an internal control could abuse that responsibility, for example - a member of management overriding an internal control.
- Manipulations by management with respect to transactions or estimates and judgments required in the preparation of financial statements.

Question 3

(a) Data Mining is the process of analysing data to find previously unknown trends, patterns and associations to make decisions. As an IT expert of the company, explain the steps involved in the data mining process. ***(6 Marks)***

(b) ERP implementation is a huge task and requires lot of time, money and patience. The organizations implementing ERP Systems should keep abreast of the latest technological developments and implementation, which is required to survive and thrive. Discuss the various risks and corresponding controls related to technological risks in an ERP environment. ***(4 Marks)***

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Answer

(a) The steps involved in the Data Mining process are as follows:

a. **Data Integration:** Firstly, the data are collected and integrated from all the different sources which could be flat files, relational database, data warehouse or web etc.

b. **Data Selection:** It may be possible that all the data collected may not be required in the first step. So, in this step we select only those data which we think is useful for data mining.

c. **Data Cleaning:** The data that is collected are not clean and may contain errors, missing values, noisy or inconsistent data. Thus, we need to apply different techniques to get rid of such anomalies.

d. **Data Transformation:** The data even after cleaning are not ready for mining as it needs to be transformed into an appropriate form for mining using different techniques like - smoothing, aggregation, normalization etc.

e. **Data Mining:** In this, various data mining techniques are applied on the data to discover the interesting patterns. Techniques like clustering and association analysis are among the many different techniques used for data mining.

f. **Pattern Evaluation and Knowledge Presentation:** This step involves visualization, transformation, removing redundant patterns etc. from the patterns we generated.

g. **Decisions/Use of Discovered Knowledge:** This step helps user to make use of the knowledge acquired to take better informed decisions.

(b) The technological risks and their corresponding controls related in an ERP environment are as follows:

Aspect	Risk Associated	Control Required
Software Functionality	ERP systems offer a myriad of features and functions, however, not all organizations require those many features. Implementing all the functionality and features just for the sake of it can be disastrous for an organization.	Care should be taken to incorporate the features that are required by the organization and supporting additional features and functionality that might be required at a future date.
Technological Obsolescence	With the advent of more efficient technologies every day, the ERP system also becomes obsolete as time goes on.	This requires critical choice of technology, architecture of the product, ease of enhancements, ease of upgrading, and quality of vendor support.

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Enhancement and Upgrades	ERP Systems are not upgraded and kept up to date. Patches and upgrades are not installed, and the tools are underutilised.	Care must be taken while selecting the vendor and upgrade/support contracts should be signed to minimize the risks.
Application Portfolio Management	These processes focus on the selection of new business applications and the projects required in delivering them.	By bringing to the light the sheer number of applications in the current portfolio, IT organizations can begin to reduce duplication and complexity.

Question 4

(a) XYZ Bank wants to deploy and implement Core Banking Systems (CBS) to all of its branches. As a consultant, how would you suggest the deployment and implementation of CBS at various stages to ensure that banks automation objectives are achieved?

(6 Marks)

(b) Hybrid cloud is a combination of both at least one private and at least one public cloud computing environments. Explain the characteristics of Hybrid Cloud. ***(4 Marks)***

Answer

(a) The various stages of deployment and implementation of Core Banking Systems (CBS) should be controlled to ensure that banks automation objectives are achieved:

- **Planning:** Planning for implementing the CBS should be done as per strategic and business objectives of bank.
- **Approval:** The decision to implement CBS requires high investment and recurring costs and will impact how banking services are provided by the bank. Hence, the decision must be approved by the Board of Directors.
- **Selection:** Although there are multiple vendors of CBS, each solution has key differentiators. Hence, bank should select the right solution which is scalable and where different interfaces are readily available considering various parameters as defined by the bank to meet their specific requirements and business objectives.
- **Design and develop or procure:** CBS solutions used to be earlier developed in-house by the bank. Currently, most of the CBS deployments are procured. There should be appropriate controls covering the design or development or procurement of CBS for the bank.
- **Testing:** Extensive testing must be done before the CBS is live. The testing is to be done at different phases at procurement stage to test suitability to data migration to ensure all existing data is correctly migrated and to confirm that the processing of various types of transactions of all modules produces the correct results.

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- **Implementation:** CBS must be implemented as per pre-defined and agreed plan with specific project milestones to ensure successful implementation.
- **Maintenance:** CBS must be maintained as required. For example - program bugs fixed, version changes implemented, etc.
- **Support:** CBS must be supported to ensure that it is working effectively.
- **Updation:** CBS modules must be updated based on requirements of business processes, technology updates and regulatory requirements.
- **Audit:** Audit of CBS must be done internally and externally as required to ensure that controls are working as envisaged.

(b) The characteristics of Hybrid Cloud are as follows:

- **Scalable:** The hybrid cloud has the property of public cloud with a private cloud environment and as the public cloud is scalable; the hybrid cloud with the help of its public counterpart is also scalable.
- **Partially Secure:** The private cloud is considered as secured and public cloud has high risk of security breach. The hybrid cloud thus cannot be fully termed as secure but as partially secure.
- **Stringent SLAs:** In the hybrid cloud, the Service Level Agreements (SLAs) are overall more stringent than the private cloud and might be as per the public cloud service providers.
- **Complex Cloud Management:** Cloud management in hybrid cloud is complex as it involves more than one type of deployment models, and the number of users is high.

Question 5

(a) In the present age of Information Technology, Business Process Automation (BPA) is the key technology-enabled automation of activities or services. As an Information Technology consultant, you are requested to suggest any three examples of business processes that are best suited to automation and also discuss any three challenges involved in Business Process Automation. ***(6 Marks)***

(b) Briefly discuss two disadvantages of Data Base Management Systems (DBMS).

(2 Marks)

(c) Differentiate between Processor Registers and Cache Memory. ***(2 Marks)***

OR

Briefly explain any two output controls.

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Answer

(a) Few examples of processes that are best suited to automation are as follows:

- **Processes involving high-volume of tasks or repetitive tasks:** Many business processes such as making purchase orders involve high-volume of repetitive tasks. Automating these processes results in cost and work-effort reductions.
- **Processes requiring multiple people to execute tasks:** A business process which requires multiple people to execute tasks often results in waiting time that can lead to increase in costs. For example - Help desk services. Automating these processes results in reduction of waiting time and in costs.
- **Time-sensitive processes:** Business process automation results in streamlined processes and faster turnaround times. The streamlined processes eliminate wasteful activities and focus on enhancing tasks that add value. Time-sensitive processes are best suited to automation. For example - Online banking system, Railway/aircraft operating and control systems etc.
- **Processes involving need for compliance and audit trail:** With business process automation, every detail of a particular process is recorded. These details can be used to demonstrate compliance during audits. For example- Invoice issue to vendors.
- **Processes having significant impact on other processes and systems:** Some processes are cross-functional and have significant impact on other processes and systems. In cross functional processes, different departments within the same company work hand in hand to achieve a common goal, e.g., the marketing department may work with sales department. Automating these processes results in sharing information resources and improving the efficiency and effectiveness of business processes.

Automated business processes are susceptible to many challenges, some of them are given below:

- **Automating Redundant Processes:** Sometimes organizations start off an automation project by automating the processes they find suitable for automation without considering whether such processes are necessary and create value or not. In other cases, some business processes and tasks require high amount of tacit knowledge that cannot be documented and transferred from one person to another and therefore seek employees to use their personal judgment. These processes are generally not good candidates for automation as these processes are hard to encode and automate.
- **Defining Complex Processes:** Business Process Automation (BPA) requires reengineering of some business processes that requires significant amount of time to

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be allocated and spent at this stage. This requires a detailed understanding of the underlying business processes to develop an automated process.

- **Staff Resistance:** In most cases, human factor issues are the main obstacle to the acceptance of automated processes. Staff may see process automation as a way of reducing their decision-making power. This is due to the reason that with automated processes, the management has a greater visibility of the process and can make decisions that used to be made by the staff earlier. Moreover, the staff may perceive automated processes as threat to their jobs.
- **Implementation Cost:** The implementation of automated processes may be an expensive proposition in terms of acquisition/development cost of automated systems and special skills required to operate and maintain these systems.

(b) The disadvantages of Database Management System (DBMS) are as follows:

- **Cost:** Implementing a DBMS in terms of both system and user-training can be expensive and time-consuming, especially in large enterprises. Training requirements alone can be quite costly.
- **Security:** Even with safeguards in place, it may be possible for some unauthorized users to access the database. If one gets access to database, then it could be an all or nothing proposition.

(c) The differences between Processor Registers and Cache memory are provided in the table below:

Processor Registers	Cache Memory
These are high speed memory units within CPU for storing small amount of data (mostly 32 or 64 bits).	It is a fast memory built into computer's CPU and is used to reduce the average time to access data from the main memory. The data that is stored within a cache might be values that have been computed earlier or duplicates of original values that are stored elsewhere.
The registers are the only memory units most processors can operate on directly.	Cache memory is an interface between CPU and Main storage. It is not directly accessible for operations.

OR

Various Output Controls under Application Controls are as follows:

- **Storage and Logging of sensitive, critical forms:** Pre-printed stationery should be stored securely to prevent unauthorized destruction or removal and usage.
- **Logging of output program executions:** When programs used for output of data are executed, these should be logged and monitored otherwise confidentiality/ integrity of the data may be compromised.

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- **Spooling/Queuing:** "Spool" is an acronym for "Simultaneous Peripherals Operations Online". This is a process used to ensure that the user can continue working, while the print operation is getting completed. This process allows data that is being used by the input or output devices to be placed in a temporary space or buffer until the existing operation gets finished. A queue is the list of documents waiting to be printed on a particular printer; this should not be subject to unauthorized modifications.
- **Controls over printing:** Outputs should be made on the correct printer, and it should be ensured that unauthorized disclosure of printed information does not take place.
- **Report Distribution and Collection Controls:** Distribution of reports should be made in a secure way to prevent unauthorized disclosure of data. It should be made immediately after printing to ensure that the time gap between generation and distribution is reduced. A log should be maintained for reports that were generated and to whom these were distributed. Reports generated but not collected immediately should be secured such that there is no unauthorized disclosure and data leakage.
- **Retention Controls:** Retention controls consider the duration for which outputs should be retained before being destroyed. Retention control requires that a date should be determined for each output item produced.

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PAPER 7 - SECTION – B: STRATEGIC MANAGEMENT

Question paper comprises 5 questions. Question No. 6 is compulsory. Attempt any 3 out of 4 questions.

Question 6

'ALBELA' Foods and 'JustBE' Foods are successfully competing chain of restaurants in India. ALBELA' s are known for their innovative approach, which has resulted in good revenues. On the other hand, JustBE is slow in responding to environmental change. The initial stages of Covid-19 pandemic and the ensuring strict lockdown had an adverse impact on both the companies. Realizing its severity and future consequences. ALBELA, foods immediately chalked out its post lockdown strategies, which include initiatives like:

(a) Contactless dinning

(b) New category of foods in the menu for boosting immunity

(c) Improving safety measures and hygiene standards

(d) Introducing online food delivery app

Seeing the positive buzz around these measures taken by ALBELA Food, JustBE Foods also thinks to introduce these measures.

(i) Identify the strategic approach taken by 'ALBELA' Foods and 'JustBE' Foods.

(ii) Discuss these strategic approach.

(iii) Which strategic approach is better and why? ***(1 + 3 + 1 = 5 Marks)***

Answer

(i) '**ALBELA' foods is proactive** in its approach. On the other hand, **'JustBE' foods is reactive** in its approach**.**

(ii)

- Proactive strategy is planned strategy. While continuing with the previously initiated business approaches that are working well, the newly launched managerial initiatives aim to strengthen the company's overall position and performance. These are outcomes of management's analysis and strategic thinking about the company's situation and its conclusions about the positioning of the company in the marketplace. If done well, it helps the company to effectively compete for buyer patronage.
- Reactive strategy is an adaptive reaction to changing circumstances. It is not always possible for a company to fully anticipate or plan for changes in the market. There is also a need to adapt strategy as new learnings emerge about which pieces of strategy are working well and which aren't. By itself also, the management may hit upon new ideas for improving the current strategy.

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(iii) In reference to the given case, proactive strategy seems to be better because ALBELA foods had been able to utilise available opportunities, reduce adverse impact, enhance the demand for product and is also able to avail the first mover advantage.

Question 7

(a) A manufacturing company is in direct competition with fifteen companies at national level. Head of marketing department of this company wishes to study the market position of rival companies by grouping them into like positions. Name the tool that may be used by him/her. Explain the procedure that may be used to implement the techniques.

(1 + 4 = 5 Marks)

(b) "Strategic decisions are different in nature than all other decisions." In the light of this statement explain major dimensions of strategic decisions. ***(5 Marks)***

Answer

(a) A tool to identify the market positions of rival companies by grouping them into like positions is ***strategic group mapping.*** A strategic group consists of those rival firms which have similar competitive approaches and positions in the market.

The **procedure for constructing a strategic group map** and deciding which firms belong in which strategic group are as follows:

1. **Identify the competitive characteristics** that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).
2. **Plot the firms on a two-variable map** using pairs of these differentiating characteristics.
3. **Assign firms that fall in about the same strategy space** to the same strategic group.
4. **Draw circles around each strategic group** making the circles proportional to the size of the group's respective share of total industry sales revenues.

(b) Strategic decisions are different in nature than all other operational decisions. The dimensions of strategic decisions are not similar to that of other decisions which are taken at various levels of the organization during day-to-day working.

The following major dimensions of strategic decisions make them different than operational decisions:

1. Strategic decisions **require top-management decisions**. Strategic decisions involve thinking in totality of the organizations and there is also a lot of risk involved in that.

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2. Strategic decisions involve the **allocation of large amounts of company resources** - financial, technical, human etc.
3. Strategic decisions are likely to have a **significant impact on the long-term prosperity** of the firm.
4. Strategic decisions are **future oriented.**
5. Strategic decisions usually have major multifunctional or multi-business consequences.
6. Strategic decisions necessitate consideration of factors in the firm's external environment.

Question 8

(a) The CEO of a textile mill is convinced that his loss making company can be turned around. Suggest an action plan for a turnaround to the CEO. ***(5 Marks)***

(b) "Understanding the competitive landscape is important to build upon a competitive advantage". Explain. ***(5 Marks)***

Answer

(a) A workable action plan for turnaround of the textile mill would involve:

- **Stage One – Assessment of current problems**: In the first step, assess the current problems and get to the root causes and the extent of damage.
- **Stage Two – Analyze the situation and develop a strategic plan:** Identify major problems and opportunities, develop a strategic plan with specific goals and detailed functional actions after analyzing strengths and weaknesses in the areas of competitive position.
- **Stage Three – Implementing an emergency action plan**: If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive.
- **Stage Four – Restructuring the business**: If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement.
- **Stage Five – Returning to normal**: In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on investments and enhancing economic value-added.

(b) Competitive landscape is a business analysis which identifies competitors, either direct or indirect. Competitive landscape is about identifying and understanding the competitors and at the same time, it permits the comprehension of their vision, mission, core values, niche market, strengths and weaknesses.

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An in-depth investigation and analysis of a firm's competition allows it to **assess the competitors' strengths and weaknesses** in the marketplace and helps it to **choose and implement effective strategies** that will improve its competitive advantage.

Steps to understand the competitive landscape for building competitive advantage are:

(i) **Identify the competitor:** The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) **Understand the competitors:** Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) **Determine the strengths of the competitors:** What are the strengths of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers? Why do customers give them their business?

(iv) **Determine the weaknesses of the competitors:** Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) **Put all of the information together:** At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthen by the firm.

Question 9

(a) There are many companies in the market offering COVID vaccine. Analyse the product in terms of threat of new entrants. ***(5 Marks)***

(b) What are the issues to be resolved by a business enterprise to have an effective logistic strategy? ***(5 Marks)***

Answer

(a) There are three companies offering a vaccine for COVID-19 in India and a fourth company is awaiting approval from authorities.

This product involves **huge capital requirements** and hence not every existing pharma company is likely to get into the competition. However, once approved for use, the entire world is the target market. This would lead to **economies of scale** helping the company to recover the investments made. The **product differentiation** is in terms of the low after effect of the vaccine and the effectiveness of the vaccine in controlling COVID-19. **Brand identity** is becoming very important with people preferring international brands compared

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to a home – grown company. **Factors like switching cost, access to distribution channels and possibility of aggressive retaliation do not apply at present** because governments across the world are controlling these factors and the vaccine has not entered the phase of free competition.

(b) Management of logistics is a process which integrates the flow of supplies into, through and out of an organisation to achieve a level of service which ensures that the right materials are available at the right place, at the right time, of the right quality and at the right cost.

For a business enterprise, effective logistic strategy will involve raising and finding solutions to the following questions:

- Which **sources of raw materials and components** are available?
- How many **manufacturing locations** are there?
- **What products** are being made at each manufacturing location?
- **What modes of transportation** should be used for various products?
- What is the **nature of distribution** facilities?
- What is the nature of **materials handling equipment** possessed? Is it ideal?
- What is the **method for deploying inventory** in the logistics network?
- Should the business firm **own the transport vehicles or hire**?

Question 10

(a) "Entrepreneur is an individual who conceives the idea of starting a new venture." In light of this statement discuss who is an entrepreneur. ***(5 Marks)***

(b) Discuss various steps involved in Business Process Reengineering (BPR) while implementing in an organization. ***(5 Marks)***

OR

Write short note on Richard RumeIt's criteria for strategy audit.

Answer

(a) Entrepreneurship is an attitude of mind to seek opportunities, take calculated risk and drive benefits by starting and running a venture. It comprises of numerous activities involved in conception, creation and running an enterprise. An entrepreneur is an individual who conceives the idea of starting a new venture, takes all type of risks, not only to put the product or service into reality but also to make it an extremely demanding one.

An entrepreneur is one who:

- Initiates and innovates a new concept.

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- Recognises and utilises opportunity.
- Arranges and coordinates resources such as man, material, machine and capital.
- Faces risks and uncertainties.
- Establishes a startup company.
- Adds value to the product or service.
- Takes decisions to make the product or service a profitable one.
- Is responsible for the profits or losses of the company.

(b) BPR is an approach to unusual improvement in operating effectiveness through the redesigning of critical business processes and supporting business systems. BPR is a revolutionary redesigning of key business processes.

BPR involves the following steps:

(i) **Determining objectives and framework:** Objectives are the desired end results of the redesign process which the management and organization attempts to achieve. This will provide the required focus, direction, and motivation for the redesign process.

(ii) **Identify customers and determine their needs:** The designers have to understand customers – their profile, their steps in acquiring, using and disposing a product. The purpose is to redesign business process that clearly provides added value to the customer.

(iii) **Study the existing process:** The existing processes will provide an important base for the redesigners. The purpose is to gain an understanding of the 'what', and 'why' of the targeted process. However, some companies go through the reengineering process with clean perspective without laying emphasis on the past processes.

(iv) **Formulate a redesign process plan:** Formulation of redesign plan is the real crux of the reengineering efforts. Customer focused redesign concepts are identified and formulated. Alternative processes are considered, and the optimum is selected.

(v) **Implement the redesign:** It is easier to formulate new process than to implement them. It is the joint responsibility of the designers and management to operationalise the new processes.

OR

Richard Rumelt's Criteria for Strategy Audit

(i) **Consistency:** A strategy should not present inconsistent goals and policies which can lead to organizational problems and conflicts. Inconsistencies in strategy are indicated if

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(a) the cause of organizational problems is issue based;

(b) success for one department implies failure for another;

(c) the top management is expected to resolve policy problems and issues every time.

(ii) Consonance: Consonance refers to the need for strategists to examine *sets of trends*, as well as individual trends, in auditing strategies. The difficulty is that most trends are the result of interactions among other trends. A strategy must represent an adaptive response to the external environment and to the critical changes occurring within it.

(iii) Feasibility: A strategy must neither overtax available resources nor create unsolvable sub-problems. The final broad test of strategy is its feasibility; that is, can the strategy be attempted within the physical, human, and financial resources of the enterprise?

(iv) Advantage: A strategy must provide for the creation and/or maintenance of a competitive advantage in a selected area of activity. The advantage may reflect superiority in any one or combination of: **resources, skills and position**.

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PAPER – 8 : FINANCIAL MANAGEMENT AND ECONOMICS FOR FINANCE

SECTION – A: FINANCIAL MANAGEMENT

*Question No. **1** is compulsory.*

*Attempt any **four** questions out of the remaining **five** questions.*

In case, any candidate answers extra question(s)/ sub-question(s) over and above the required number, then only the requisite number of questions first answered in the answer book shall be valued and subsequent extra question(s) answered shall be ignored.

Working notes should form part of the answer

Question 1

(a) *Current annual sale of SKD Ltd. is ₹ 360 lakhs. It's directors are of the opinion that company's current expenditure on receivables management is too high and with a view to reduce the expenditure they are considering following two new alternate credit policies:*

	Policy X	Policy Y
Average collection period	1.5 months	1 month
% of default	2%	1%
Annual collection expenditure	₹ 12 lakh	₹ 20 lakh

Selling price per unit of product is ₹ 150. Total cost per unit is ₹ 120.

Current credit terms are 2 months and percentage of default is 3%.

Current annual collection expenditure is ₹ 8 lakh. Required rate of return on investment of SKD Ltd. is 20%. Determine which credit policy SKD Ltd. should follow. ***(5 Marks)***

(b) *The details about two companies R Ltd. and S Ltd. having same operating risk are given below:*

Particulars	R Ltd.	S Ltd.
Profit before interest and tax	₹ 10 lakhs	₹ 10 lakhs
Equity share capital ₹ 10 each	₹ 17 lakhs	₹ 50 lakhs
Long term borrowings @ 10%	₹ 33 lakhs	-
Cost of Equity (K_e)	18%	15%

You are required to:

(1) *Calculate the value of equity of both the companies on the basis of M.M. Approach without tax.*

(2) *Calculate the Total Value of both the companies on the basis of M.M. Approach without tax.* ***(5 Marks)***

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(c) *K.P. Ltd. is investing ₹ 50 lakhs in a project. The life of the project is 4 years. Risk free rate of return is 6% and risk premium is 6%, other information is as under:*

Sales of 1st year	*₹ 50 lakhs*
Sales of 2nd year	*₹ 60 lakhs*
Sales of 3rd year	*₹ 70 lakhs*
Sales of 4th year	*₹ 80 lakhs*
P/V Ratio (same in all the years)	*50%*
Fixed Cost (Excluding Depreciation) of 1st year	*₹ 10 lakhs*
Fixed Cost (Excluding Depreciation) of 2nd year	*₹ 12 lakhs*
Fixed Cost (Excluding Depreciation) of 3rd year	*₹ 14 lakhs*
Fixed Cost (Excluding Depreciation) of 4th year	*₹ 16 lakhs*

Ignoring interest and taxes,

You are required to calculate NPV of given project on the basis of Risk Adjusted Discount Rate.

Discount factor @ 6% and 12% are as under:

Year	*1*	*2*	*3*	*4*
Discount Factor @ 6%	*0.943*	*0.890*	*0.840*	*0.792*
Discount Factor@ 12%	*0.893*	*0.797*	*0.712*	*0.636*

(5 Marks)

(d) *The following information relates to LMN Ltd.*

Earning of the company	*₹ 30,00,000*
Dividend pay-out ratio	*60%*
No. of shares outstanding	*5,00,000*
Rate of return on investment	*15%*
Equity capitalized rate	*13%*

Required:

(i) *Determine what would be the market value per share as per Walter's model.*

(ii) *Compute optimum dividend pay-out ratio according to Walter's model and the market value of company's share at that pay-out ratio.* ***(5 Marks)***

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Answer

(a) Statement showing the Evaluation of Credit policies (Total Approach)

Particulars		Present Policy (2 Months)	Proposed Policy X (1.5 Months)	Proposed Policy Y (1 Month)
		₹ in lakhs	₹ in lakhs	₹ in lakhs
A.	**Expected Profit:**			
	(a) Credit Sales*	360	360	360
	(b) Total Cost other than Bad Debts and collection expenditure (360/150 x 120)	288	288	288
	(c) Bad Debts	10.8 (360 x 0.03)	7.2 (360 x 0.02)	3.6 (360 x 0.01)
	(d) Collection expenditure	8	12	20
	(e) Expected Profit [(a) – (b) – (c) - (d)]	53.2	52.8	48.4
B.	**Opportunity Cost of Investments in Receivables (Working Note)**	9.6	7.2	4.8
C.	**Net Benefits (A – B)**	43.6	45.6	43.6

Recommendation: The Proposed Policy X should be followed since the net benefits under this policy are higher as compared to other policies.

***Note:** It is assumed that all sales are on credit.

Working Note:

Calculation of Opportunity Cost of Average Investments

$$\text{Opportunity Cost} = \text{Total Cost} \times \frac{\text{Collection period}}{12} \times \frac{\text{Rate of Return}}{100}$$

Present Policy = ₹ 288 lakhs × $\frac{2}{12} \times \frac{20}{100}$ = ₹ 9.6 lakhs

Policy X = ₹ 288 lakhs × $\frac{1.5}{12} \times \frac{20}{100}$ = ₹ 7.2 lakhs

Policy Y = ₹ 288 lakhs × $\frac{1}{12} \times \frac{20}{100}$ = ₹ 4.8 lakhs

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Alternatively

Statement showing the Evaluation of Credit policies (Incremental Approach)

Particulars		Present Policy (2 Months)	Proposed Policy X (1.5 Months)	Proposed Policy Y (1 Month)
		₹ in lakhs	₹ in lakhs	₹ in lakhs
	(a) Credit Sales*	360	360	360
	(b) Cost of sales (360/150 x 120)	288	288	288
	(c) Receivables (Refer Working Note)	48	36	24
	(d) Reduction in receivables from present policy	-	12	24
(A)	**Savings in Opportunity Cost of Investment in Receivables (@ 20%)**	**-**	**2.4**	**4.8**
	(e) Bad Debts	10.8 (360 x 0.03)	7.2 (360 x 0.02)	3.6 (360 x 0.01)
(B)	**Reduction in bad debts from present policy**	**-**	**3.6**	**7.2**
	(f) Collection expenditure	8	12	20
(C)	**Increase in Collection expenditure from Present policy**	**-**	**4**	**12**
(D)	**Net Benefits (A +B-C)**		2	0

Recommendation: The Proposed Policy X should be followed since the net benefits under this policy are higher as compared to other policies.

***Note:** It is assumed that all sales are on credit.

Working Note:

Calculation of Investment in Receivables

$$= \text{Total Cost} \times \frac{\text{Collection period}}{12}$$

Present Policy $= ₹ 288 \text{ lakhs} \times \frac{2}{12} = ₹ 48 \text{ lakhs}$

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Policy X = ₹ 288 lakhs × $\frac{1.5}{12}$ = ₹ 36 lakhs

Policy Y = ₹ 288 lakhs × $\frac{1}{12}$ = ₹ 24 lakhs

(b) (1) Computation of value of equity on the basis of MM approach without tax

Particulars	R Ltd. (₹ in lakhs)	S Ltd. (₹ in lakhs)
Profit before interest and taxes	10	10
Less: Interest on debt (10% × ₹ 33,00,000)	3.3	-
Earnings available to Equity shareholders	6.7	10
K_e	18%	15%
Value of Equity (Earnings available to Equity shareholders/K_e)	**37.222**	**66.667**

(2) Computation of total value on the basis of MM approach without tax

Particulars	R Ltd. (₹ in lakhs)	S Ltd. (₹ in lakhs)
Value of Equity (S) (as calculated above)	37.222	66.667
Debt (D)	33	-
Value of Firm (V) = S + D	**70.222**	**66.667**

(c) Calculation of Cash Flow

Year	Sales (₹ in Lakhs) (A)	P/V ratio (B)	Contribution (₹ in Lakhs) (C) = (A x B)	Fixed Cost (₹ in Lakhs) (D)	Cash Flows (₹ in lakhs) (E) = (C – D)
1	50	50%	25	10	15
2	60	50%	30	12	18
3	70	50%	35	14	21
4	80	50%	40	16	24

When risk-free rate is 6% and the risk premium expected is 6%, then risk adjusted discount rate would be 6% + 6% =12%.

Calculation of NPV using Risk Adjusted Discount Rate (@ 12%)

Year	Cash flows (₹ in Lakhs)	Discounting Factor @ 12%	Present Value of Cash Flows (₹ in lakhs)
1	15	0.893	13.395
2	18	0.797	14.346

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3	21	0.712	14.952
4	24	0.636	15.264
Total of present value of Cash flow			57.957
Less: Initial Investment			50.000
Net Present value (NPV)			**7.957**

(d) (i) Calculation of market value per share as per Walter's model

$$P = \frac{D + \frac{r}{K_e}(E - D)}{K_e}$$

Where,

P = Market price per share.

E = Earnings per share = ₹ 30,00,000/5,00,000 = ₹ 6

D = Dividend per share = ₹ 6 x 0.60 = ₹ 3.6

r = Return earned on investment = 15%

K_e = Cost of equity capital = 13%

$$P = \frac{3.6 + \frac{0.15}{0.13}(6 - 3.6)}{0.13} = ₹ 49$$

(ii) According to Walter's model, when the return on investment (r) is more than the cost of equity capital (K_e), the price per share increases as the dividend pay-out ratio decreases. Hence, the optimum dividend pay-out ratio in this case is nil.

So, at a pay-out ratio of zero, the market value of the company's share will be:

$$P = \frac{0 + \frac{0.15}{0.13}(6 - 0)}{0.13} = ₹ 53.254$$

Question 2

Following are the information of TT Ltd.:

Particulars	
Earnings per share	*₹ 10*
Dividend per share	*₹ 6*
Expected growth rate in Dividend	*6%*
Current market price per share	*₹ 120*

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Tax Rate	*30%*
Requirement of Additional Finance	*₹ 30 lakhs*
Debt Equity Ratio (For additional finance)	*2:1*
Cost of Debt	
0-5,00,000	*10%*
5,00,001 - 10,00,000	*9%*
Above 10,00,000	*8%*

Assuming that there is no Reserve and Surplus available in TT Ltd.

You are required to:

(a) Find the pattern of finance for additional requirement

(b) Calculate post tax average cost of additional debt

(c) Calculate cost of equity

(d) Calculate the overall weighted average after tax cost of additional finance. ***(10 Marks)***

Answer

(a) Pattern of raising additional finance

Equity	1/3 of ₹ 30,00,000	= ₹ 10,00,000
Debt	2/3 of ₹ 30,00,000	= ₹ 20,00,000

The capital structure after raising additional finance:

Particulars		**(₹)**
Shareholder's Funds		
Equity Capital		10,00,000
Debt (Interest at 10% p.a.)		5,00,000
(Interest at 9% p.a.)		5,00,000
(Interest at 8% p.a.)	(20,00,000–10,00,000)	10,00,000
Total Funds		**30,00,000**

(b) Determination of post-tax average cost of additional debt

$K_d = I (1 – t)$

Where,

I = Interest Rate

t = Corporate tax-rate

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On First ₹ 5,00,000 = 10% (1 – 0.3) = 7% or 0.07

On Next ₹ 5,00,000 = 9% (1 – 0.3) = 6.3% or 0.063

On Next ₹ 10,00,000 = 8% (1 – 0.3) = 5.6% or 0.056

Average Cost of Debt

$$= \frac{(₹\ 5,00,000 \times 0.07) + (₹\ 5,00,000 \times 0.063) + (₹\ 10,00,000 \times 0.056)}{₹\ 20,00,000} \times 100 = \textbf{6.125\%}$$

(c) Determination of cost of equity applying Dividend growth model:

$$K_e = \frac{D_1}{P_0} + g$$

Where,

K_e = Cost of equity

D_1 = $D_0 (1+ g)$

D_0 = Dividend paid

g = Growth rate = 6%

P_0 = Current market price per share = ₹ 120

$$K_e = \frac{₹\ 6(1+0.06)}{₹\ 120} + 0.06 = \frac{₹\ 6.36}{₹\ 120} + 0.06 = \textbf{0.113 or 11.3\%}$$

(d) Computation of overall weighted average after tax cost of additional finance

Particulars	(₹)	Weights	Cost of funds	Weighted Cost (%)
Equity	10,00,000	1/3	11.3%	3.767
Debt	20,00,000	2/3	6.125%	4.083
WACC	30,00,000			**7.85**

(Note: In the above solution different interest rate have been considered for different slab of Debt)

Alternative Solution

(a) Pattern of raising additional finance

Equity	1/3 of ₹ 30,00,000	= ₹ 10,00,000
Debt	2/3 of ₹ 30,00,000	= ₹ 20,00,000

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The capital structure after raising additional finance:

Particulars	(₹)
Shareholders' Funds	
Equity Capital	10,00,000
Debt (Interest at 8% p.a.)	20,00,000
Total Funds	**30,00,000**

(b) Determination of post-tax average cost of additional debt

$K_d = I (1 – t)$

Where,

I = Interest Rate

t = Corporate tax-rate

K_d = 8% (1 – 0.3) = 5.6%

(c) Determination of cost of equity applying Dividend growth model:

$$K_e = \frac{D_1}{P_0} + g$$

Where,

K_e = Cost of equity

$D_1 = D_0 (1+ g)$

D_0 = Dividend paid

g = Growth rate =6%

P_0 = Current market price per share = ₹ 120

Then, $K_e = \frac{₹ 6(1+0.06)}{₹ 120} + 0.06 = \frac{₹ 6.36}{₹ 120} + 0.06$ = **0.113 or 11.3%**

(d) Computation of overall weighted average after tax cost of additional finance

Particulars	(₹)	Weights	Cost of funds	Weighted Cost (%)
Equity	10,00,000	1/3	11.3%	3.767
Debt	20,00,000	2/3	5.6%	3.733
WACC	30,00,000			**7.50**

(Note: In the above solution single interest rate have been considered for Debt)

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Question 3

Masco Limited has furnished the following ratios and information relating to the year ended 31st March 2021:

Sales	*₹ 75,00,000*
Return on net worth	*25%*
Rate of income tax	*50%*
Share capital to reserves	*6:4*
Current ratio	*2.5*
Net profit to sales (After Income Tax)	*6.50%*
Inventory turnover (based on cost of goods sold)	*12*
Cost of goods sold	*₹ 22,50,000*
Interest on debentures	*₹ 75,000*
Receivables (includes debtors ₹ 1,25,000)	*₹ 2,00,000*
Payables	*₹ 2,50,000*
Bank Overdraft	*₹ 1,50,000*

You are required to:

(a) Calculate the operating expenses for the year ended 31st March, 2021.

(b) Prepare a balance sheet as on 31st March in the following format:

Liabilities	*₹*	*Assets*	*₹*
Share Capital		*Fixed Assets*	
Reserves and Surplus		*Current Assets*	
15% Debentures		*Stock*	
Payables		*Receivables*	
Bank Term Loan		*Cash*	

(10 Marks)

Answer

(a) Calculation of Operating Expenses for the year ended 31st March, 2021

Particulars		**(₹)**
Net Profit [@ 6.5% of Sales]		4,87,500
Add: Income Tax (@ 50%)		4,87,500
Profit Before Tax (PBT)		9,75,000

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Add: Debenture Interest		75,000
Profit before interest and tax (PBIT)		10,50,000
Sales		75,00,000
Less: Cost of goods sold	22,50,000	
PBIT	10,50,000	33,00,000
Operating Expenses		42,00,000

(b) **Balance Sheet as on 31st March, 2021**

Liabilities	₹	Assets	₹
Share Capital	11,70,000	Fixed Assets	18,50,000
Reserve and Surplus	7,80,000	Current Assets	
15% Debentures	5,00,000	Stock	1,87,500
Payables	2,50,000	Receivables	2,00,000
Bank Overdraft(or Bank Term Loan)	1,50,000	Cash	6,12,500
	28,50,000		28,50,000

Working Notes:

(i) **Calculation of Share Capital and Reserves**

The return on net worth is 25%. Therefore, the profit after tax of ₹ 4,87,500 should be equivalent to 25% of the net worth.

$$\text{Net worth} \times \frac{25}{100} = ₹\ 4,87,500$$

$$\therefore \text{ Net worth} = \frac{₹\ 4,87,500 \times 100}{25} = ₹\ 19,50,000$$

The ratio of share capital to reserves is 6:4

Share Capital = 19,50,000 x 6/10 = ₹ 11,70,000

Reserves = 19,50,000 x 4/10 = ₹ 7,80,000

(ii) **Calculation of Debentures**

Interest on Debentures @ 15% (as given in the balance sheet format) = ₹ 75,000

$$\therefore \text{ Debentures} = \frac{75,000 \times 100}{15} = ₹\ 5,00,000$$

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(iii) **Calculation of Current Assets**

Current Ratio = 2.5

Payables = ₹ 2,50,000

Bank overdraft = ₹ 1,50,000

Total Current Liabilities = ₹ 2,50,000 + ₹ 1,50,000 = ₹ 4,00,000

∴ Current Assets = 2.5 x Current Liabilities = 2.5 × 4,00,000 = ₹ 10,00,000

(iv) **Calculation of Fixed Assets**

Particulars	₹
Share capital	11,70,000
Reserves	7,80,000
Debentures	5,00,000
Payables	2,50,000
Bank Overdraft	1,50,000
Total Liabilities	28,50,000
Less: Current Assets	10,00,000
Fixed Assets	18,50,000

(v) **Calculation of Composition of Current Assets**

Inventory Turnover = 12

$$\frac{\text{Cost of goods sold}}{\text{Closing stock}} = 12$$

Closing stock = $\frac{₹\ 22,50,000}{12}$ = Closing stock = ₹ 1,87,500

Particulars	₹
Stock	1,87,500
Receivables	2,00,000
Cash (balancing figure)	6,12,500
Total Current Assets	10,00,000

Question 4

An existing company has a machine which has been in operation for two years, its estimated remaining useful life is 4 years with no residual value in the end. Its current market value is ₹3 lakhs. The management is considering a proposal to purchase an improved model of a machine gives increase output. The details are as under:

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Particulars	*Existing Machine*	*New Machine*
Purchase Price	*₹ 6,00,000*	*₹ 10,00,000*
Estimated Life	*6 years*	*4 years*
Residual Value	*0*	*0*
Annual Operating days	*300*	*300*
Operating hours per day	*6*	*6*
Selling price per unit	*₹ 10*	*₹ 10*
Material cost per unit	*₹ 2*	*₹ 2*
Output per hour in units	*20*	*40*
Labour cost per hour	*₹ 20*	*₹ 30*
Fixed overhead per annum excluding depreciation	*₹ 1,00,000*	*₹ 60,000*
Working Capital	*₹ 1,00,000*	*₹ 2,00,000*
Income-tax rate	*30%*	*30%*

Assuming that - cost of capital is 10% and the company uses written down value of depreciation @ 20% and it has several machines in 20% block.

Advice the management on the Replacement of Machine as per the NPV method.

The discounting factors table given below:

Discounting Factors	*Year 1*	*Year 2*	*Year 3*	*Year 4*
10%	*0.909*	*0.826*	*0.751*	*0.683*

(10 Marks)

Answer

(i) Calculation of Net Initial Cash Outflows:

Particulars	**₹**
Purchase Price of new machine	10,00,000
Add: Net Working Capital	1,00,000
Less: Sale proceeds of existing machine	3,00,000
Net initial cash outflows	8,00,000

(ii) Calculation of annual Profit Before Tax and depreciation

Particulars	**Existing machine**	**New Machine**	**Differential**
(1)	**(2)**	**(3)**	**(4) = (3) – (2)**
Annual output	36,000 units	72,000 units	36,000 units

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		₹	₹	₹
(A)	Sales revenue @ ₹ 10 per unit	3,60,000	7,20,000	3,60,000
(B)	Cost of Operation			
	Material @ ₹ 2 per unit	72,000	1,44,000	72,000
	Labour			
	Old = 1,800 × ₹ 20	36,000		
	New = 1,800 × ₹ 30		54,000	18,000
	Fixed overhead excluding depreciation	1,00,000	60,000	(40,000)
	Total Cost (B)	2,08,000	2,58,000	50,000
Profit Before Tax and depreciation (PBTD) (A – B)		**1,52,000**	**4,62,000**	**3,10,000**

(iii) Calculation of Net Present value on replacement of machine

Year	PBTD	Depreciation @ 20% WDV	PBT	Tax @ 30%	PAT	Net cash flow	PVF @ 10%	PV
(1)	(2)	(3)	(4 = 2-3)	(5)	(6 = 4-5)	(7 = 6 + 3)	(8)	(9 = 7 x 8)
1	3,10,000	1,40,000	1,70,000	51,000	1,19,000	2,59,000	0.909	2,35,431.000
2	3,10,000	1,12,000	1,98,000	59,400	1,38,600	2,50,600	0.826	2,06,995.600
3	3,10,000	89,600	2,20,400	66,120	1,54,280	2,43,880	0.751	1,83,153.880
4	3,10,000	71,680	2,38,320	71,496	1,66,824	2,38,504	0.683	1,62,898.232
								7,88,478.712
Add: Release of net working capital at year end 4 (1,00,000 x 0.683)								68,300.000
Less: Initial Cash Outflow								8,00,000.000
NPV								**56,778.712**

Advice: Since the incremental NPV is positive, existing machine should be replaced.

Working Notes:

1. Calculation of Annual Output

Annual output = (Annual operating days x Operating hours per day) x output per hour

Existing machine = (300 x 6) x 20 = 1,800 x 20 = 36,000 units

New machine = (300 x 6) x 40 = 1,800 x 40 = 72,000 units

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2. Base for incremental depreciation

Particulars		**₹**
WDV of Existing Machine		
Purchase price of existing machine		6,00,000
Less: Depreciation for year 1	1,20,000	
Depreciation for Year 2	96,000	2,16,000
WDV of Existing Machine (i)		**3,84,000**
Depreciation base of New Machine		
Purchase price of new machine		10,00,000
Add: WDV of existing machine		3,84,000
Less: Sales value of existing machine		3,00,000
Depreciation base of New Machine (ii)		**10,84,000**
Base for incremental depreciation [(ii) – (i)]		**7,00,000**

(Note: The above solution have been done based on incremental approach)

Alternatively, solution can be done based on Total Approach as below:

(i) Calculation of depreciation:

Existing Machine						
	Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**	**Year 6**
Opening balance	6,00,000	4,80,000	3,84,000	3,07,200	2,45,760	1,96,608.00
Less: Depreciation @ 20%	1,20,000	96,000	76,800	61,440	49,152	39,321.60
WDV	4,80,000	3,84,000	3,07,200	2,45,760	1,96,608	1,57,286.40

New Machine				
	Year 1	**Year 2**	**Year 3**	**Year 4**
Opening balance	**10,84,000***	8,67,200	6,93,760	5,55,008.00
Less: Depreciation @ 20%	**2,16,800**	**1,73,440**	**1,38,752**	**1,11,001.60**
WDV	8,67,200	6,93,760	5,55,008	4,44,006.40

***** As the company has several machines in 20% block, the value of Existing Machine from the block calculated as below shall be added to the new machine of ₹ 10,00,000:

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WDV of existing machine at the beginning of the year	₹ 3,84,000
Less: Sale Value of Machine	₹ 3,00,000
WDV of existing machine in the block	₹ 84,000

Therefore, opening balance for depreciation of block = ₹ 10,00,000 + ₹ 84,000 = ₹ 10,84,000

(ii) Calculation of annual cash inflows from operation:

Particulars	EXISTING MACHINE			
	Year 3	Year 4	Year 5	Year 6
Annual output (300 operating days x 6 operating hours x 20 output per hour)	**36,000 units**	**36,000 units**	**36,000 units**	**36,000 units**
	₹	₹	₹	₹
(A) **Sales revenue @ ₹ 10 per unit**	**3,60,000.00**	**3,60,000.00**	**3,60,000.00**	**3,60,000.00**
(B) Less: Cost of Operation				
Material @ ₹ 2 per unit	72,000.00	72,000.00	72,000.00	72,000.00
Labour @ ₹ 20 per hour for (300 x 6) hours	36,000.00	36,000.00	36,000.00	36,000.00
Fixed overhead	1,00,000.00	1,00,000.00	1,00,000.00	1,00,000.00
Depreciation	76,800.00	61,440.00	49,152.00	39,321.60
Total Cost (B)	**2,84,800.00**	**2,69,440.00**	**2,57,152.00**	**2,47,321.60**
Profit Before Tax (A – B)	75,200.00	90,560.00	1,02,848.00	1,12,678.40
Less: Tax @ 30%	22,560.00	27,168.00	30,854.40	33,803.52
Profit After Tax	**52,640.00**	**63,392.00**	**71,993.60**	**78,874.88**
Add: Depreciation	76,800.00	61,440.00	49,152.00	39,321.60
Add: Release of Working Capital				1,00,000.00
Annual Cash Inflows	**1,29,440.00**	**1,24,832.00**	**1,21,145.60**	**2,18,196.48**

Particulars	NEW MACHINE			
	Year 1	Year 2	Year 3	Year 4
Annual output (300 operating days x 6 operating hours x 40 output per hour)	**72,000 units**	**72,000 units**	**72,000 units**	**72,000 units**
	₹	₹	₹	₹
(A) **Sales revenue @ ₹ 10 per unit**	**7,20,000.00**	**7,20,000.00**	**7,20,000.00**	**7,20,000.00**

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(B) Less: Cost of Operation				
Material @ ₹ 2 per unit	1,44,000.00	1,44,000.00	1,44,000.00	1,44,000.00
Labour @ ₹ 30 per hour for (300 x 6) hours	54,000.00	54,000.00	54,000.00	54,000.00
Fixed overhead	60,000.00	60,000.00	60,000.00	60,000.00
Depreciation	2,16,800.00	1,73,440.00	1,38,752.00	1,11,001.60
Total Cost (B)	**4,74,800.00**	**4,31,440.00**	**3,96,752.00**	**3,69,001.60**
Profit Before Tax (A – B)	2,45,200.00	2,88,560.00	3,23,248.00	3,50,998.40
Less: Tax @ 30%	73,560.00	86,568.00	96,974.40	1,05,299.52
Profit After Tax	1,71,640.00	2,01,992.00	2,26,273.60	2,45,698.88
Add: Depreciation	2,16,800.00	1,73,440.00	1,38,752.00	1,11,001.60
Add: Release of Working Capital				2,00,000.00
Annual Cash Inflows	**3,88,440.00**	**3,75,432.00**	**3,65,025.60**	**5,56,700.48**

(iii) Calculation of Incremental Annual Cash Flow:

Particulars	Year 1 (₹)	Year 2 (₹)	Year 3 (₹)	Year 4 (₹)
Existing Machine (A)	1,29,440.00	1,24,832.00	1,21,145.60	2,18,196.48
New Machine (B)	3,88,440.00	3,75,432.00	3,65,025.60	5,56,700.48
Incremental Annual Cash Flow (B – A)	2,59,000.00	2,50,600.00	2,43,880.00	3,38,504.00

(iv) Calculation of Net Present Value on replacement of machine:

Year	Incremental Annual Cash Flow (₹) (A)	Discounting factor @ 10% (B)	Present Value of Incremental Annual Cash Flow (₹) (A x B)
1	2,59,000.00	0.909	2,35,431.000
2	2,50,600.00	0.826	2,06,995.600
3	2,43,880.00	0.751	1,83,153.880
4	3,38,504.00	0.683	2,31,198.232
Total Incremental Inflows			**8,56,778.712**
Less: Net Initial Cash Outflows (Working note)			8,00,000.000
Incremental NPV			**56,778.712**

Advice: Since the incremental NPV is positive, existing machine should be replaced.

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Working Note:

Calculation of Net Initial Cash Outflows:

Particulars	₹
Cost of new machine	10,00,000
Less: Sale proceeds of existing machine	3,00,000
Add: incremental working capital required (₹ 2,00,000 – ₹ 1,00,000)	1,00,000
Net initial cash outflows	**8,00,000**

Question 5

A company had the following balance sheet as on 31st March, 2021:

Liabilities	*₹ in Crores*	*Assets*	*₹ in Crores*
Equity Share Capital (75 lakhs Shares of ₹ 10 each)	*7.50*	*Building*	*12.50*
Reserves and Surplus	*1.50*	*Machinery*	*6.25*
15% Debentures	*15.00*	*Current Assets*	
Current Liabilities	*6.00*	*Stock*	*3.00*
		Debtors	*3.25*
		Bank Balance	*5.00*
	30.00		*30.00*

The additional information given is as under:

Fixed cost per annum (excluding interest)	*₹ 6 crores*
Variable operating cost ratio	*60%*
Total assets turnover ratio	*2.5*
Income-tax rate	*40%*

Calculate the following and comment:

(i) Earnings per share

(ii) Operating Leverage

(iii) Financial Leverage

(iv) Combined Leverage ***(10 Marks)***

Answer

Total Assets	= ₹ 30 crores
Total Asset Turnover Ratio	= 2.5
Hence, Total Sales	= 30 × 2.5 = ₹ 75 crores

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Computation of Profit after Tax (PAT)

Particulars	(₹ in crores)
Sales	75.00
Less: Variable Operating Cost @ 60%	45.00
Contribution	30.00
Less: Fixed Cost (other than Interest)	6.00
EBIT/PBIT	24.00
Less: Interest on Debentures (15% × 15)	2.25
EBT/PBT	21.75
Less: Tax @ 40%	8.70
EAT/ PAT	13.05

(i) Earnings per Share

$$EPS = \frac{PAT}{\text{Number of Equity Shares}} = \frac{13.05}{0.75} = ₹\ 17.40$$

It indicates the amount the company earns per share. Investors use this as a guide while valuing the share and making investment decisions. It is also an indicator used in comparing firms within an industry or industry segment.

(ii) Operating Leverage

$$\text{Operating Leverage} = \frac{\text{Contribution}}{EBIT} = \frac{30}{24} = 1.25$$

It indicates the choice of technology and fixed cost in cost structure. It is level specific. When firm operates beyond operating break-even level, then operating leverage is low. It indicates sensitivity of earnings before interest and tax (EBIT) to change in sales at a particular level.

(iii) Financial Leverage

$$\text{Financial Leverage} = \frac{EBIT}{PBT} = \frac{24}{21.75} = 1.103$$

The financial leverage is very comfortable since the debt service obligation is small vis-à-vis EBIT.

(iv) Combined Leverage

$$\text{Combined Leverage} = \frac{\text{Contribution}}{PBT} = \frac{30}{21.75} = 1.379$$

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Or,

= Operating Leverage × Financial Leverage

= 1.25 × 1.103 = 1.379

The combined leverage studies the choice of fixed cost in cost structure and choice of debt in capital structure. It studies how sensitive the change in EPS is vis-à-vis change in sales. The leverages operating, financial and combined are used as measurement of risk.

Question 6

(a) Explain in brief the forms of Post Shipment Finance. ***(4 Marks)***

(b) Describe the salient features of FORFAITING. ***(4 Marks)***

(c) List out the steps to be followed by the manager to measure and maximize the Shareholder's Wealth ***(2 Marks)***

OR

Explain the limitations of Average Rate of Return. ***(2 Marks)***

Answer

(a) Post-shipment Finance: It takes the following forms:

(a) **Purchase/discounting of documentary export bills**: Finance is provided to exporters by purchasing export bills drawn payable at sight or by discounting usance export bills covering confirmed sales and backed by documents including documents of the title of goods such as bill of lading, post parcel receipts, or air consignment notes.

(b) **E.C.G.C. Guarantee:** Post-shipment finance, given to an exporter by a bank through purchase, negotiation or discount of an export bill against an order, qualifies for post-shipment export credit guarantee. It is necessary, however, that exporters should obtain a shipment or contracts risk policy of E.C.G.C. Banks insist on the exporters to take a contracts shipments (comprehensive risks) policy covering both political and commercial risks. The Corporation, on acceptance of the policy, will fix credit limits for individual exporters and the Corporation's liability will be limited to the extent of the limit so fixed for the exporter concerned irrespective of the amount of the policy.

(c) **Advance against export bills sent for collection:** Finance is provided by banks to exporters by way of advance against export bills forwarded through them for collection, taking into account the creditworthiness of the party, nature of goods exported, usance, standing of drawee, etc.

(d) **Advance against duty draw backs, cash subsidy, etc.:** To finance export losses sustained by exporters, bank advance against duty draw-back, cash subsidy, etc., receivable by them against export performance. Such advances are of clean nature; hence necessary precaution should be exercised.

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(b) The Salient features of forfaiting are:

- It motivates exporters to **explore new geographies** as payment is assured.
- An overseas buyer (importer) can import goods and services on **deferred payment terms**.
- The exporter enjoys **reduced transaction costs and complexities** of international trade transactions.
- The exporter gets to **compete in the international market** and can continue to put his working capital to good use to scale up operations.
- While importers avail of forfaiting facility from international financial institutions in order to **finance their imports at competitive rates**.

(c) For measuring and maximising shareholders' wealth, manager should follow:

Cash Flow approach not Accounting Profit

Cost benefit analysis

Application of time value of money.

Or

Limitations of Average Rate of Return

- The accounting rate of return technique, like the payback period technique, **ignores the time value of money** and considers the value of all cash flows to be equal.
- The technique uses accounting numbers that are dependent on the organization's **choice of accounting procedures,** and different accounting procedures, e.g., depreciation methods, can lead to substantially different amounts for an investment's net income and book values.
- The method **uses net income rather than cash flows**; while net income is a useful measure of profitability, the net cash flow is a better measure of an investment's performance.
- Furthermore, inclusion of only the book value of the invested asset **ignores** the fact that a project can require **commitments of working capital** and other outlays that are not included in the book value of the project.

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SECTION – B: ECONOMICS FOR FINANCE

*Question No. **7** is compulsory.*

*Answer any **three** from the rest.*

Question 7

(a) Explain the measurement of Net Domestic Product at market price. ***(2 Marks)***

(b) In the context of India, measure money supply (M3) as per guidelines published by Reserve Bank of India. ***(3 Marks)***

		(In crores of) ₹
(i)	Currency notes and coins with the public	24,637.20
(ii)	Demand deposits of Banks	2,01,589.60
(iii)	Net time deposits with post office saving accounts	28,116.40
(iv)	Other deposits with Reserve Bank	420.10
(v)	Saving deposits with post office saving banks	415.25

(c) Justify the role of public debt as an instrument of Fiscal Policy. ***(2 Marks)***

(d) Compare and contrast between devaluation and depreciation in the context of exchange rate. ***(3 Marks)***

Answer

(a) Net domestic product at market prices (NDP_{MP}) is a measure of the market value of all final economic goods and services, produced within the domestic territory of a country by its normal residents and non-residents during an accounting year less depreciation. The portion of the capital stock used up in the process of production or depreciation must be subtracted from final sales because depreciation represents capital consumption and therefore accost of production.

$$NDP_{MP} = GDP_{MP} - \text{Depreciation}$$

(b) $M_3 = M_1$ + time deposits with banking System

= Currency notes and coins with the people + demand deposits with the banking system (Current and Saving deposit accounts) + other deposits with the RBI + time deposits with banking System

= 24637.20 + 201589.60 + 28116.40 + 420.10

= ₹ 254763.3 Cr

(c) A rational policy of public borrowing and debt repayment is a potent weapon to fight inflation and deflation. Borrowing from the public through the sale of bonds and securities curtails the aggregate demand in the economy. Repayments of debt by governments increase the availability of money in the economy and increase aggregate demand.

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Public debt may be internal or external; when the government borrows from its own people in the country, it is called internal debt. On the other hand, when the government borrows from outside sources, the debt is called external debt. Public debt takes two forms namely, market loans and small savings.

(d) Devaluation is a monetary policy tool used by countries that have a fixed exchange rate or nearly fixed exchange rate regime and involves a discrete official reduction in the otherwise fixed par value of a currency. The monetary authority formally sets a new fixed rate with respect to a foreign reference currency or currency basket.

Depreciation lowers the relative price of a country's exports, raises the relative price of its imports, increases demand both for domestic import- competing goods and for exports, leads to output expansion, encourages economic activity, increases the international competitiveness of domestic industries, increases the volume of exports, and improves trade balance.

Devaluation is a deliberate downward adjustment in the value of a country's currency relative to another country's currency or group of currencies or standard, in contrast depreciation is a decrease in a currency's value (relative to other major currency benchmarks) due to market forces of demand and supply under a floating exchange rate and not due to any government or central bank policy actions.

Question 8

(a) Calculate the national income using income and expenditure method from the data given below:

Items:	*₹ in crores*
(i) Government purchase of goods and services	*7,000*
(ii) Indirect tax	*9,000*
(iii) Subsidies	*1,800*
(iv) Gross business fixed capital	*13,000*
(v) Inventory Investment	*3,000*
(vi) Consumption of fixed capital	*4,000*
(vii) Personal consumption expenditure	*51,000*
(viii) Export of goods and services	*4,800*
(ix) Net factor income from aboard	*(-) 300*
(x) Imports of goods and services	*5,600*
(xi) Mixed income of self employed	*28,000*
(xii) Rent, interest and profits	*10,000*
(xiii) Compensation of employees	*24,000*

(3 + 2 = 5 Marks)

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(b) (i) Describe various types of externalities which cause market failure. ***(3 Marks)***

(ii) Mention any four sectors in which foreign direct investment is prohibited. ***(2 Marks)***

Answer

(a) Income Method

NNP $_{FC}$ or National Income = Compensation of employees + Operating Surplus (rent + interest+ profit) + Mixed Income of Self- employed+ Net Factor Income from Abroad

= 24000 + 10,000 + 28000 + (-300)

= ₹ 61700 Cr

Expenditure Method:

GDP=C+I+G+(X−M)

= personal consumption expenditure (c) + gross business fixed capital + inventory management (I) + govt purchases (G) + (exports- imports)

GDP$_{MP}$= 51000+7000+13000+3000+(4800-5600)

= ₹ 73200cr

GNP$_{mp}$ = 73200+Net factor Income from Abroad

=₹ 73200+(-300) **= ₹ 72900cr**

NNP$_{mp}$ = ₹72900 – 4000 = **₹ 68900 cr**

NNP$_{fc}$ or National Income = ₹ 68900-7200 = **₹ 61700cr**

(b) (i) There are four major reasons for market failure which are: Market power, Externalities, Public goods, and Incomplete information. Sometimes, the actions of either consumers or producers result in costs or benefits that do not reflect as part of the market price. Such costs or benefits which are not accounted for by the market price are called externalities because they are "external" to the market.

The four possible types of externalities are:

- **Negative production externalities**: A negative externality initiated in production which imposes an external cost on others may be received by another in consumption or in production. As an example, a negative production externality occurs when a factory which produces aluminum discharges untreated waste water into a nearby river and pollutes the water causing health hazards for people who use the water for drinking and bathing. Additionally, there is no market in which these external costs can be reflected in the price of aluminum.

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- **Positive production externalities**: A positive production externality is received in consumption when an individual raises an attractive garden and the persons walking by enjoy the garden. These external effects were not in fact considered when the production decisions were made.
- **Negative consumption externalities**: Negative consumption externalities are extensively experienced by us in our day-to-day life. Such negative consumption externalities initiated in consumption which produce external costs on others may be received in consumption or in production
- **Positive consumption externalities:** A positive consumption externality initiated in consumption that confers external benefits on others may be received in consumption or in production. For example, if people get immunized against contagious diseases, they will confer a social benefit to others as well by preventing others from getting infected.

The presence of externalities creates a divergence between private and social costs of production. When negative production externalities exist, social costs exceed private cost because the true social cost of production would be private cost plus the cost of the damage from externalities. Negative externalities impose costs on society that extend beyond the cost of production as originally intended and borne by the producer. If producers do not take into account the externalities, there will be over- production and market failure.

Externalities cause market inefficiencies because they hinder the ability of market prices to convey accurate information about how much to produce and how much to consume.

(b) Apart from being a critical driver of economic growth, foreign direct investment (FDI) is a major source of non-debt financial resource for the economic development of India. Currently, an Indian company may receive foreign direct investment either through 'automatic route' without any prior approval either of the Government or the Reserve Bank of India or through 'government route' with prior approval of the Government. The sectors in which foreign direct investment is prohibited are as follows:

(i) Lottery business including Government / private lottery, online lotteries, etc.

(ii) Gambling and betting including casinos etc.

(iii) Chit funds

(iv) Nidhi company

(v) Trading in Transferable Development Rights (TDRs)

(vi) Real Estate Business or Construction of Farmhouses

(vii) Manufacturing of cigars, cheroots, cigarillos, and cigarettes, of tobacco or of tobacco substitutes

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(viii) Activities / sectors not open to private sector investment e.g., atomic energy and railway operations (other than permitted activities).

Question 9

(a) (i) Justify the following statements in the light of holding cash balance. ***(3 Marks)***

(1) For investment in interest bearing assets

(2) In the prevailing scenario, usually all transactions are made through online or E-banking.

(3) Money is a unique store of value

(ii) Briefly describe any two advantages of fixed exchange rate regime in the context of open economy. ***(2 Marks)***

(b) (i) Define Common Access Resources. Why they are over-used? Explain. ***(2 Marks)***

(ii) Explain in brief any four effects of Tariffs on importing and exporting countries.

(3 Marks)

Answer

(a) (i) (1) For Investment in interest bearing assets: The speculative motive reflects people's desire to hold cash in order to be equipped to exploit any attractive investment opportunity requiring cash expenditure. According to Keynes, people demand to hold money balances to take advantage of the future changes in the rate of interest, which is the same as future changes in bond prices.

(2) In the prevailing scenario, usually all transactions are made through online or E banking: The transactions motive for holding cash relates to 'the need for cash for current transactions for personal and business exchange.' The need for holding money arises because there is lack of synchronization between receipts and expenditures.

(3) Money is a unique store of value: Many unforeseen and unpredictable contingencies involving money payments occur in our day-to-day life. Individuals as well as businesses keep a portion of their income to finance such unanticipated expenditures. The amount of money demanded under the precautionary motive depends on the size of income, prevailing economic as well as political conditions and personal characteristics of the individual such as optimism/ pessimism, farsightedness etc.

(ii) A fixed exchange rate, also referred to as pegged exchange rate, is an exchange rate regime under which a country's government announces, or decrees, what its currency will be worth in terms of either another country's currency or a basket of currencies or another measure of value, such as gold.

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A fixed exchange rate avoids currency fluctuations and eliminates exchange rate risks and transaction costs, enhances international trade and investment, and lowers the levels of inflation. But the central bank has to maintain an adequate amount of reserves and be always ready to intervene in the foreign exchange market.

(b) (i) Common access resources or common pool resources are a special class of impure public goods which are non-excludable as people cannot be excluded from using them. These are rival in nature and their consumption lessens the benefits available for others. They are generally available free of charge. Some important natural resources fall into this category. Examples of common access resources are fisheries, forests, backwaters, common pastures, rivers, sea, backwaters biodiversity etc.

Since price mechanism does not apply to common resources, producers and consumers do not pay for these resources and therefore, they overuse them and cause their depletion and degradation. This creates threat to the sustainability of these resources and, therefore, the availability of common access resources for future generations.

(ii) Tariffs, also known as customs duties, are basically taxes or duties imposed on goods and services which are imported or exported. They are the most visible and universally used trade measures that determine market access for goods. Instead of a single tariff rate, countries have a tariff schedule which specifies the tariff collected on every particular good and service.

Effect of tariff on importing and exporting countries is as follows:

- Tariff barriers create obstacles to trade, decrease the volume of imports and exports and therefore of international trade. The prospect of market access of the exporting country is worsened when an importing country imposes a tariff.
- By making imported goods more expensive, tariffs discourage domestic consumers from consuming imported foreign goods. Domestic consumers suffer a loss in consumer surplus because they must now pay a higher price for the good and also because compared to free trade quantity, they now consume lesser quantity of the good.
- Tariffs encourage consumption and production of the domestically produced import substitutes and thus protect domestic industries.
- Producers in the importing country experience an increase in well-being as a result of imposition of tariff. The price increase of their product in the domestic market increases producer surplus in the industry. They can also charge higher prices than would be possible in the case of free trade because foreign competition has reduced.

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- The price increase also induces an increase in the output of the existing firms and possibly addition of new firms due to entry into the industry to take advantage of the new high profits and consequently an increase in employment in the industry.
- Tariffs create trade distortions by disregarding comparative advantage and prevent countries from enjoying gains from trade arising from comparative advantage. Thus, tariffs discourage efficient production in the rest of the world and encourage inefficient production in the home country.
- Tariffs increase government revenues of the importing country by the value of the total tariff it charges.

Question 10

(a) (i) Fisher's equation of exchange is: MV =PT. If velocity (V) = 25, Price (P) 110.5 and volume of transaction (T) = 200 billion. ***(3 Marks)***

Calculate:

(1) Total money supply (m)

(2) Effect on M when velocity (V) increases to 75

(3) Velocity (V) when the volume of transactions increases to 325 billion.

(ii) Briefly explain the advantages of two key concepts of New Trade theories to countries when importing goods to compete with products from the home country.

(2 Marks)

(b) (i) Mention any three key objectives of World Trade Organisation. ***(3 Marks)***

(ii) Describe the differences between Liquidity Adjustment Facility (LAF) and Marginal Standing Facility (MSF). ***(2 Marks)***

Answer

(a) (i) (1) MV = PT

M× 25 = 110.5 ×200

Therefore,25 M = 22100

Then M = 22100÷25 = 884 bn

Total supply supply (m) **= 884**bn

(2) M ×75 = 110.5 × 200

M = 110.5 × 200÷ 75 **= 294.66**bn

Hence supply of money will reduce from 884bn to 294.66bn

(3) MV = PT

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884× V= 110.5×325V **= 40.62**bn

When Volume of transaction increases to 325bn velocity (v) will be 40.62bn

(ii) **New Trade Theory** helps in understanding why developed and big countries trade partners are when they are trading similar goods and services. This is particularly true in key economic sectors such as electronics, IT, food, and automotive.

According to New Trade Theory, two key concepts give advantages to countries that import goods to compete with products from the home country:

- **Economies of Scale:** As a firm produces more of a product, its cost per unit keeps going down. So, if the firm serves domestic as well as foreign market instead of just one, then it can reap the benefit of large scale of production consequently the profits are likely to be higher.
- **Network effects** refer to the way one person's value for a good or service is affected by the value of that good or service to others. The value of the product or service is enhanced as the number of individuals using it increases. A good example will be Mobile App such as What's App and software like Microsoft Windows.

(b) (i) The WTO does its functions by acting as a forum for trade negotiations among member governments, administering trade agreements, reviewing national trade policies, cooperating with other international organizations, and assisting developing countries in trade policy issues through technical assistance and training programmes. The WTO, accounting for about 95% of world trade, currently has 164 members, of which 117 are developing countries or separate customs territories.

The WTO has six key objectives:

- to set and enforce rules for international trade
- to provide a forum for negotiating and monitoringfurther trade liberalization
- to resolve trade disputes
- to increase the transparency of decision-making processes
- to cooperate with other major international economic institutions involved in global economic management, and
- to help developing countries benefit fully from the global trading system.

(b) (ii) The Liquidity Adjustment Facility (LAF) enables the RBI to modulate short-term liquidity under varied financial market conditions to ensure stable conditions in the overnight (call) money market. The LAF consists of overnight as well as term repo auctions. The aim of term repo is to help develop the inter-bank term money market. Currently, the RBI provides financial accommodation to the commercial

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banks through repos/reverse repos under the Liquidity Adjustment Facility (LAF).

The Marginal Standing Facility (MSF) announced by the Reserve Bank of India (RBI) in its Monetary Policy, 2011-12 refers to the facility under which scheduled commercial banks can borrow additional amount of overnight money from the central bank over and above what is available to them through the LAF window by dipping into their Statutory Liquidity Ratio (SLR) portfolio up to a limit (a fixed per cent of their net demand and time liabilities deposits (NDTL) *liable to change every year*) at a penal rate of interest.

The MSF would be the last resort for banks once they exhaust all borrowing options including the liquidity adjustment facility on which the rates are lower compared to the MSF.

Question 11

(a) (i) The equation of 'consumption function' of an economy is as follows: ***(3 Marks)***

C = ₹450 + 0. 70 y

You are required to compute the following:

(1) Consumption when disposable income (y) is ₹3,500 and ₹5,800.

(2) Saving when disposable income (y) is ₹3,500 and ₹5,500.

(3) Amount induced when disposable income is ₹3,200.

(ii) Distinguish between horizontal, vertical and conglomerate type of foreign investments. ***(2 Marks)***

(b) (i) Explain the concept of 'Voluntary Export Restraints'. Under which circumstances exporters commit to voluntary export restraint? Discuss. ***(3 Marks)***

(ii) Mention any four arguments made in favour of Foreign Direct Investment to developing economy like India. ***(2 Marks)***

OR

Explain the concept of Real Exchange Rate. ***(2 Marks)***

Answer

(a) (i) C = 450 + 0.70y

(1) Consumption when disposable income (y) is ₹ 3,500 and ₹ 5800C = 450 + 0.70 × 3500 = **2900**

C = 450 + 0.70 × 5800 = **4510**

(2) Saving when disposable income (y) is ₹ 3500 & ₹ 5,500When y = ₹ 3500, C = ₹2900

S = y-c = 3500-2900= **600**

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When y = 5500

C = 450 + 0.70 ×5500 = 4300

S = y-c = 5500-4300= **1200**

(3) Amount induced when disposable income is ₹ 3200

Y = C+I

C= 450 + 0.70× 3200 = 2690

3200 = 2690 + I

I = 510

(ii) Based on the nature of foreign investments, FDI may be categorized as horizontal, vertical, or conglomerate.

A horizontal direct investment is said to take place when the investor establishes the same type of business operation in a foreign country as it operates in its home country, for example, a cell phone service provider based in the United States moving to India to provide the same service.

A vertical investment is one under which the investor establishes or acquires a business activity in a foreign country which is different from the investor's main business activity yet in some way supplements its major activity. For example, an automobile manufacturing company may acquire an interest in a foreign company that supplies parts or raw materials required for the company.

A conglomerate type of foreign direct investment is one where an investor makes a foreign investment in a business that is unrelated to its existing business in its home country. This is often in the form of a joint venture with a foreign firm already operating in the industry, as the investor has no previous experience.

(b) (i) Voluntary Export Restraints (VERs) refer to a type of informal quota administered by an exporting country voluntarily restraining the quantity of goods that can be exported out of that country during a specified period of time.

The inducement for the exporter to agree to a VERs is mostly to appease the importing country and to avoid the effects of possible retaliatory trade restraints that may be imposed by the importer. VERs may arise when the import- competing industries seek protection from a surge of imports from exporting countries. VERs cause, as do tariffs and quotas, domestic prices to rise and cause loss of domestic consumer surplus.

(ii) Foreign direct investment (FDI), according to IMF manual on 'Balance of payments' is "all investments involving a long-term relationship and reflecting a lasting interest and control of a resident entity in one economy in an enterprise resident in an economy other than that of the direct investor".

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Arguments in favour of foreign Direct Investment to developing economy like India are as follows:

- the increasing interdependence of national economies and the consequent trade relations and international industrial cooperation established among them
- desire to reap economies of large-scale operation arising from technological growth
- shared common language or common boundaries and possible saving in time and transport costs because of geographical proximity
- promoting optimal utilization of physical, human, financial and other resources
- desire to capture large and rapidly growing high potential emerging markets with substantially high and growing population
- stable political environment and overall favourable investment climate in the host country
- lower level of economic efficiency in host countries and identifiable gaps in development
- tax differentials and tax policies of the host country which support foreign direct investment. However, a low tax burden cannot compensate for a generally fragile and unattractive FDI environment.

OR

The 'real exchange rate' incorporates changes in prices and describes 'how many' of a good or service in one country can be traded for 'one' of that good or service in a foreign country.

For calculating real exchange rate, in the case of trade in a single good, we must first use the nominal exchange rate to convert the prices into a common currency. The real exchange rate (RER) between two currencies is the product of the nominal exchange rate and the ratio of prices between the two countries

$$\text{Real exchange rate} = \text{Nominal exchange rate} \times \frac{\text{Domestic price}}{\text{Foreign price Index}}$$

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EXAMINERS' COMMENTS ON PERFORMANCE OF THE EXAMINEES

PAPER – 5: ADVANCED ACCOUNTING

Specific Comments

Question 1.(a) Most of the examinees failed to compute the percentage of completion, contract revenue and contract cost to be recognized in accordance with the provisions of AS 7 "Construction Contracts".

(b) Many examinees were not able to give the required answer in line with AS 24 "Discontinuing Operations".

(c) Majority of the examinees failed to state that the events are to be treated as contingencies, adjusting events or non-adjusting events occurring after balance sheet date with reasons in line with the provisions of AS 4 "Contingencies and Events occurring after the Balance Sheet Date".

(d) Most of the examinees showed lack of knowledge regarding provisions of AS 18 "Related Party Disclosures". They failed to explain the treatment of the given transactions at the closing date i.e. on 31st March, 2021 in line with the standard.

Question 2.(a) Majority examinees erred in calculation of 'maximum permissible number of equity shares that can be bought back' while applying Debt Equity Ratio test. Consequently, they were unable to compute the maximum permitted buyback and failed to give the necessary journal entries for buy back.

(b) Many examinees failed to calculate equity shareholders' voting rights in case of resolution of winding up of the company in part (ii) of the question.

Question 3.(a) Most of the examinees were not able to adjust the value of goodwill amongst the partners. Further, they did not consider the capital of 'Q' as the base for keeping Partners' capital in their profit-sharing ratio and consequently, they failed to prepare the correct Balance Sheet of the new partnership firm as at 31st March, 2021.

(b) Few examinees erred in calculation of the amount of provision in respect of financed assets.

Question 4.(a) Small number of examinees were not able to prepare the statement of consolidated profit and loss from the information provided in the question. Some of them did not prepare notes to accounts.

(b) Few examinees erred in calculation of goodwill / capital reserve in the given situations.

Question 5.(a) Large number of the examinees could not compute number of shares to be issued by Black Limited to White Limited against purchase consideration. They failed to calculate the balance of net current assets of Black Limited and White Limited as on 1st July,

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2020. Some of them also erred in computation of balances of profit or loss and property, plant and equipment of Black Ltd. after takeover.

(b) Majority of the examinees prepared Profit and Loss Account of the banking company correctly but failed to provide the working notes.

Question 6.(a) The answers of majority examinees reflected lack of knowledge for the provisions of AS 22 "Accounting for Taxes on Income". Hence, they failed to show impact of the given items on Deferred Tax Assets and Deferred Tax Liability as on 31st March, 2021.

(b) Some of the examinees made mistake in calculation of loss due to liquidation and erred in distribution of surplus/ (deficiency) amount among different categories of shareholders.

(c) Some of the examinees did not determine the amount of provision to be made and revenue to be recognized correctly as per AS 29 'Provisions, Contingent Liabilities and Contingent Assets'.

(d) Large number of the examinees were not able to calculate total compensation expenses for the options expected to vest and cumulative cost to be recognized at the end of all the three years.

(e) Very few examinees failed to give the necessary journal entries for the given reconstruction scheme.

PAPER – 6: AUDITING AND ASSURANCE

Specific Comments

Question 1.(a) Misstatement in financial statement: Good performance: Examinees have good knowledge of the topic and answered well.

(b) Appointment of First Auditor of Multi state co – operative society: Most of the examinees were not aware of the provisions in relation to appointment of auditors in case of Multi-State Co-operative Society.

(c) Assertions refer to the representations by the auditor: In general most of the examinees wrote the definition of assertions correctly. However, some examinees wrote about the names of various assertions which was not required of the question.

(d) Difference between advocacy threat and intimidation threat: Many examinees did not write the difference between advocacy threat and intimidation threat because they were lacking conceptual knowledge on the topic.

(e) Stratified sampling: Majority of the examinees were unable to answer well. They were not very clear about the topic.

(f) Objective of Data Centre and Network Operations: A large number of examinees were not aware of the objective of Data Canter and Network Operations and therefore, could not answer correctly.

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(g) Auditor's ability to detect material misstatement in the context of related party: Some examinees did not have the satisfactory knowledge about the topic and could not given the valid reasons and instead reproduced the question itself.

(h) Location of the description of auditor's responsibility in auditor's report: Many examinees were not aware with respect to the location of description of auditor's responsibilities. They wrongly answered that the location of description of auditor's responsibility is in engagement letter.

Question 2.(a) All activities in the planning stage form part of auditor's documentation : Most of the examinees did not have fair knowledge of the topic and did not discuss about the examples. They generally discussed about the audit plan, which was not required of the question.

(b) Precautions for using Test checking technique: Many examinees did not have knowledge about the topic and therefore, missed out important precautions in relation to test checking technique.

(d) Analytical Procedure: Some examinees elaborated the analytical procedures in detail only i.e trend analysis, without writing about the inquiry of management and performing other audit procedures as necessary in the circumstances.

Question 3.(a) Identification of Events occurring after Balance sheet date : Examinees did not possess sufficient knowledge about the topic and general types of answers were given. Many examinees wrote about the adjusting and non- adjusting events. Some examinees did not write about the audit procedures specifically in relation to subsequent events as per SA-560 but only wrote about general audit procedures.

(b) Negative confirmation as sole substantive audit procedure: Most of the Examinees did not have fair idea about Negative confirmation. Hence, they have failed to explain the question which was asked.

(c) Examples of audit procedure: Many **examinees** did not understand the requirement of the question and their answer was not relevant to the topic. Some examinees just explained about observation and inspection which was not required.

(d) Points of Consideration for IT environment and IT control: A large number of examinees did not have fair idea about the topic and have answered it generally. Their answer were not relevant and to the point.

Question 4.(b) Most of the examinees answered in general sense instead of giving special points of consideration for development of audit programme.

(c) Valuation of intangible assets: Examinees did not have fair idea about the topic and provisions of Schedule III. They generally wrote about the amortization of assets correctly. Impairment of assets have not been discussed by the examinees. Some examinees discussed about initial recognition of assets and its definition which was not required.

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(d) Provisions of Companies Act, 2013 regarding appointment of internal auditor: Good performance: Most of the examinees wrote the limits regarding appointment of internal auditor appropriately. However, some examinees concluded the answer based on limits being "greater than" and not "equal to or more than" since the paid up share capital limit given in the question was equal to INR 50 crores.

Question 5.(a) Maintenance of cost records and cost audit: A large number of examinees mixed the exemption of cost audit applicable to electricity generation companies for captive consumption with the applicability of cost records and considered both being exempt.

(b) Key responsibilities of Audit committee as per section 177 of the Companies Act, 2013: Majority of the examinees discussed about the responsibilities such as remuneration of the auditor, appointment of auditor etc. Few examinees discussed about scrutiny of inter-corporate loans, valuation of undertakings etc.

(d) Amendment in the auditor's responsibilities clause in case of disclaimer audit report: Most of the examinees did not have fair idea about the topic and they generally answered the topic and had not given to the point and specific answer. Many examinees defined the types of opinion (i.e qualified, adverse and disclaimer), which was not required. Also, some examinees answered as to when the disclaimer of opinion to be given instead of responsibility of auditor.

Question 6.(a) Classification of advances as per NPA norms: Average performance: Majority of the examinees did not have fair idea about the topic and had not answered the question according to the norms of RBI.

Or

(a) Define Government audit and its objectives: Many examinees did not have specific idea about the topic and they answered in very general manner. Most of the examinees did not write specific definition and objectives of the Government Audit but only defined quite generally and also, some examinees wrongly discussed about appointment of auditors by CAG.

(b) Verification of assets and liabilities of a school: Majority of the examinees did not understand the question. The question asked about the verification of assets and liabilities of the school only. But instead of focusing on the relevant points, the examinees discussed about the audit programme of school which was not required.

(c) Returns to be maintained and filed by LLP: Most of the examinees did not have an idea of LLP and they discussed about the Tax audit, GST audits etc. They were not aware which type of returns are required to be filed by LLP.

(b) Rating (question wise) on the performance of examinees

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PAPER – 7: ENTERPRISE INFORMATION SYSTEMS AND STRATEGIC MANAGEMENT

SECTION – A: ENTERPRISE INFORMATION SYSTEMS

Specific Comments

Question 1. This was a compulsory question consisting of two sub-parts.

(a) This was a straightforward question wherein examinees were required to **"List the benefits of Business Intelligence"**. Most of the examinees attempted this question and answered correctly.

(b) This was a simple question which required examinees to **"Discuss in brief the characteristics of CBS"**. Majority of the examinees could successfully attempt this question.

Question 2.(a) This question sought examinees to **"Explain in brief the drawbacks of Digital Payments"**. Most of the examinees managed to produce headings (points) correctly, however only few could provide correct explanation of the same. The overall performance of examinees was average in this part.

(b) This question required examinees to **"Explain inherent limitations of Internal Control System"**. Most of the examinees failed to understand the requirement of the question and performed below average in this question.

Question 3.(a) This question was based on the **"Steps involved in the process of Data Mining"**. Most of the examinees provided correct heading (points), however only few could provide the correct explanation of headings.

(b) This question sought the examinees to "**Discuss various risks and corresponding controls related to technological risks in an ERP environment"**. The examinees partly answered this question with very few examinees being able to provide both risks and corresponding controls.

Question 4.(a) This question required examinees to **"Discuss deployment and implementation of CBS at various stages to achieve the Bank Automation Objectives"**. The examinees could provide the correct answer partly and performed average in this question.

(b) This question sought the examinees to **"Explain the characteristics of Hybrid Cloud"**. Most of the examinees could provide the answer reasonably well and performed satisfactorily in this question.

Question 5.(a) This question was asked in two sub-parts related to **"Three examples of BPA"** and **"Three challenges in BPA"**. Though examples of BPA could be provided by majority of the examinees, however very few could successfully answer the three challenges in BPA. The overall performance of the examinees was observed to be below average in this question.

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(b) This question was about the **"Disadvantages of Data Base Management Systems"**. Most of the examinees answered it correctly.

(c) This question had internal choice:

The first choice was based on **"Differences between Processor Registers and Cache Memory"**. Majority of the examinees could provide the correct point and performed well.

OR

The second choice was based on **"Explanation of Output Controls"**. Few examinees attempted this part but failed to provide correct answer.

SECTION – B: STRATEGIC MANAGEMENT

Specific Comments

Question 6. Majority of the examinees were not able to correctly identify the correct strategic approaches. Better strategic approach was identified correctly but arguments advanced in support of the strategy were not correct. Hence, the performance was average.

Question 7.(a) Majority of the examinees did not mention the correct strategic tool to study the market position of the company and a large number of examinees were not correctly explain the procedure to implement the said tool.

(b) Majority of the examinees were able to present good answers in this simple and straightforward question. Overall the performance was good.

Question 8.(a) The performance was average as many examinees mentioned the correct name of different stages of the action plan but were not able to explain them properly.

(b) Performance was below average. Examinees explained the meaning and importance of the competitive advantage instead of competitive landscape. The explanation of steps to understand competitive landscape was not up to the mark.

Question 9.(a) Examinees were not able to provide expected answers as they lacked proper knowledge of the concept. The answers given by them were very vague. Being a skill application-oriented question, majority of the examinees were not able to correlate even the correct points with the threats of new entrants to COVID vaccine market.

(b) The performance was poor as the examinees couldn't attempt this question on correct lines due to lack of conceptual clarity of the issues related to effective logistic strategy.

Question 10.(a) Most of the examinees were explained the traits of an entrepreneur instead of functions. Besides, the answers of the examinees were generic and repetitive. Hence, the performance was average.

(b) Majority of the examinees were correctly mentioned the steps involved in BPR but many of them failed to explain them properly. In the second option, Richard Rumelt's criteria for

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strategic audit were correctly mentioned by some of the examinees but their explanation was not on desired lines.

PAPER – 8: FINANCIAL MANAGEMENT AND ECONOMICS FOR FINANCE

SECTION A – FINANCIAL MANAGEMENT

Specific Comments

Question 1.(a) It was a numerical problem based on **decision on credit policy**. This question was fairly answered by most of the examinees and above average performance was observed.

(b) It was a numerical problem requiring **computation of value of equity and total value of company** on the basis of M. M. Approach without tax. Above average performance of the examinees was observed.

(c) It was a numerical problem requiring **calculation of NPV on the basis of Risk Adjusted Discount Rate (RADR).** Fair performance of the examinees was observed.

(d) This numerical problem required the **calculation of market value of share and optimum dividend pay-out ratio under Walter's Model**. Performance of most of examinees was good.

Question 2. This numerical problem required the examinees to **find the pattern of additional finance along with calculation of post-tax average cost of additional debt, cost of equity & Weighted Average Cost of additional finance**. The performance of the examinees was above average.

Question 3. This numerical problem was based on **calculation of operating expenses and preparation of balance sheet** based on the provided ratios. Above average performance was observed.

Question 4. This numerical problem required the examinees to **advice on the replacement of machine based on NPV**. Below average performance was observed in this question.

Question 5. This numerical problem required **calculation of earnings per share, operating leverage, financial leverage and combined leverage**. Average performance of the examinees was observed.

Question 6.(a) This was a theoretical question based on **forms of Post shipment Finance**. Very few examinees attempted the question and poor performance was observed.

(b) This was a theoretical question on **features of forfaiting**. Very few examinees attempted the question and poor performance was observed.

(c)(i) This theoretical question required the examinees to **list out the steps to measure and**

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maximise shareholder's wealth. Very few examinees attempted the question and below average performance was observed.

(ii) Examinees were asked to explain **limitations of Average Rate of Return.** Very few students attempted this question and performance was poor.

SECTION – B: ECONOMICS FOR FINANCE

Specific Comments

Question 7. Compulsory Question

(a) Theory question on measurement of Net Domestic Product at market price was given to test the understanding of the subject. The Performance was above average.

(b) Numerical question on calculation of M3 was for getting the value of M3 which is an important component of money supply. The Performance was good.

(c) Theory question on role of public debt as an instrument of Fiscal Policy was for better understanding of the major instrument of fiscal Policy. The Performance was above average.

(d) Theory question on devaluation and depreciation was for understanding the differences between the two. The Performance was average.

Question 8.(a) Numerical question related to calculation of national income using income and expenditure method was for relating the variables which can be added or subtracted in getting the desired result. The Performance was below average.

(b) Theoretical question on externalities was for how externalities play a role in public finance. The Performance was good.

(i) Theoretical question on FDI prohibited sector was for understanding which sectors are still under prohibited list for FDI. The Performance was average.

Question 9.(a)(i) Theoretical question on holding of cash in given different scenarios was represented to check the understanding for demand for money. The Performance was poor.

(ii) Theoretical question on advantages of fixed exchange rate regime was for realizing the advantage of exchange rate on international trade and balance of payment. The performance was average.

(b)(i) Theoretical question on Common Access Resources reflects the importance of the concept. The performance was good.

(ii) Theoretical question on effect of tariff on importing and exporting countries will for evaluating the effect of tariff and trade preferences. The Performance was average.

Question 10.(a)(i) Numerical question on calculation of money supply and impact of change in velocity and transaction volume was to relate the interdependence of the variables. The Performance was good.

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(ii) Theoretical question on advantages of key concepts of New Trade theories: The Performance was average.

(b)(i) Theoretical question on objectives of WTO is for importance of WTO in the current era. The Performance was average.

(ii) Theoretical question on LAF and MSF for importance in realizing how these are in understanding the monetary policy. The Performance was average.

Question 11.(a)(i) Numerical question on computation of Consumption and saving using consumption function highlight the importance of other variables which influences consumption. The Performance was average.

(ii) Theoretical question on horizontal, vertical, and conglomerate type of foreign investments will realize the differences. The Performance was above average.

(b) (i) Theoretical question on Voluntary Export Restraints for better understanding of the concept in international trade. The Performance was below average.

(ii) Theoretical question on arguments in favour of FDI to developing economy for better clarity of the importance of FDI in International Trade. The Performance was average

OR

A theory question on Real Exchange Rate is for what it is and how it is calculated and its importance in international trade. The Performance was average.

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